



Project Murphy

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Vendor assistance

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June 7, 2018

Important notice

This report is provided to Impero Waste Services, LLC ("Impero"), Action Environmental Group, Inc. ("Action"), Summer Street Capital Partners, LLC ("Summer Street") and Clairvest Group Inc. ("Clairvest") (collectively "Client", or "you") (Action and Impero, collectively "Target") on a confidential basis pursuant to our amended engagement letter dated April 17, 2018 ("Engagement Agreement") (originally dated March 5, 2018) and is subject in all respects to the terms and conditions of the Engagement Agreement, including restrictions on use of this report by third parties.

If this report is received by any party other than Client, the recipient is placed on notice that this report has been prepared solely for Client's benefit and its own use. KPMG LLP ("KPMG") does not authorize recipient or any other party to rely on this report and any such reliance shall be at recipient's sole risk. Therefore, KPMG shall have no liability or responsibility in respect of the advice, recommendations, or other information in this report to recipient or any other party other than Client. Further, this report and its contents may not be shared with or disclosed by the recipient to any party without the express written consent of Client and KPMG.

In preparing our report, our primary source has been Company's internal management information and representations made to us by management of the Company. We do not accept responsibility for such information which remains the responsibility of management. We have satisfied ourselves, so far as possible, that the information presented in our report is consistent with other information which was made available to us in the course of our work in accordance with the terms of our Engagement Agreement. We have not, however, sought to establish the reliability of the sources by reference to other evidence.

This engagement is not an assurance engagement conducted in accordance with any generally accepted assurance standards and consequently no assurance opinion is expressed.

The quality of earnings and working capital analysis is for indicative purposes only. We have sought to illustrate the effect on EBITDA and working capital of adjusting for those items identified in the course of our work that may be considered to be 'non-recurring' or 'exceptional'. However the selection and quantification of such adjustments is necessarily judgmental. Because there is no authoritative literature or common standard with respect to the calculation of 'underlying' earnings and working capital, there is no basis to state whether all appropriate and comparable adjustments have been made. In addition, while the adjustments may indeed relate to items which are 'non-recurring' or 'exceptional' or otherwise unrepresentative of the trend, it is possible that earnings and working capital trends for future periods may be affected by such items, which may be different from the historical items.



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June 7, 2018

Dear Sirs,

We have completed our procedures to assist Impero Waste Services, LLC ("Impero"), Action Environmental Group, Inc. ("Action"), Summer Street Capital Partners, LLC ("Summer Street") and Clairvest Group Inc. ("Clairvest") (collectively "Client", or "you") (Action and Impero, collectively "Target") in performing sell-side initiated due diligence procedures on Action in accordance with the terms of our amended engagement letter dated April 17, 2018 (originally dated March 5, 2018), including its Terms and Conditions for Advisory Services.

Objective

The objective of our engagement was to assist you as you evaluate potential strategic alternatives for the business. Our work was conducted based on the following access:

- Monthly management accounts, internal financial reports, and other information received from the Company;
- Discussions with the Company's Chief Financial Officer and Director of Finance

The scope of our work is to provide information to you and any prospective investor or purchaser parties on a non-reliance basis and does not in any way involve advice or recommendations to any prospective investor or purchaser party as to whether or not to proceed with the transaction. Each prospective purchaser should complete additional due diligence procedures to the extent it considers necessary.

Basis of Information

The limited procedures we performed do not constitute an audit, examination or review in accordance with standards established by the Chartered Professional Accountants of Canada ("CPA"), and we have not otherwise verified the information we obtained or presented in this report. We express no opinion or any other form of assurance on the Company's internal control over financial reporting or on the information presented in our report, and make no representations concerning its accuracy or completeness.

We have not compiled, examined, or applied other procedures in accordance with the Assurance and Related Services Guidelines issued by the CPA to prospective information contained in this document and, accordingly, express no opinion or any other form of assurance or representations concerning the accuracy, completeness or presentation format of such prospective information. There will usually be differences between projected and actual results, because events and circumstances frequently do not occur as expected, and those differences may be material.

The data included in this report was obtained from you from March 2, 2018 to June 7, 2018 inclusive. Since many aspects of the transaction have either not been finalized or are not yet documented, changes may occur that materially affect the financial and other information we received and reported to you. We have no obligation to update our report or to revise the information contained herein to reflect events and transactions occurring subsequent to June 7, 2018.

Because of its special nature, this report is not suited for any purpose other than to assist Client in its evaluation of the business and, as such and as agreed in the engagement letter, this report may be provided to any prospective purchaser parties on a non-reliance basis and does not in any way involve advice or recommendations to any prospective purchaser party as to whether or not to proceed with a transaction.

Yours truly,

KPMG LLP



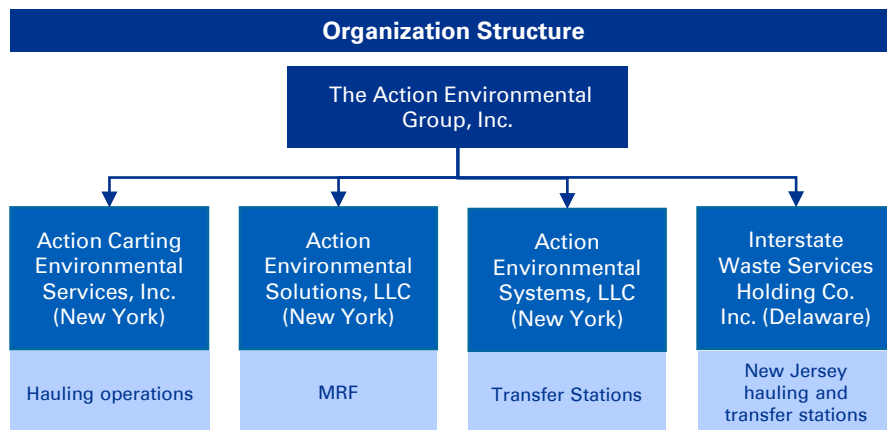
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Overview

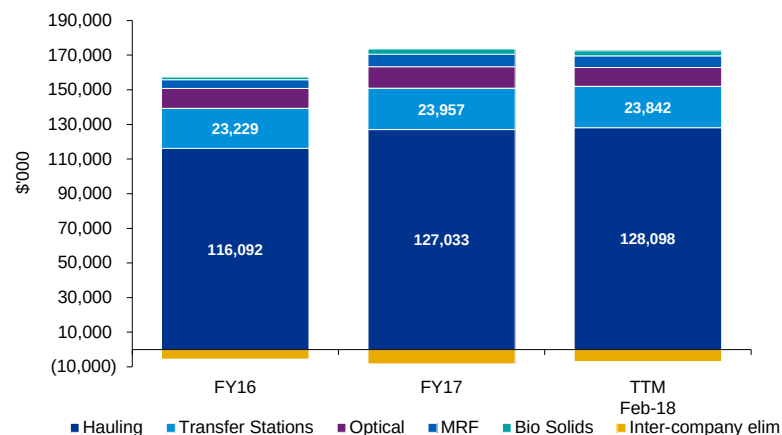
Business overview



Source: Management provided information

Net revenue by segment

Net revenue by segment, reported



Source: Management provided information



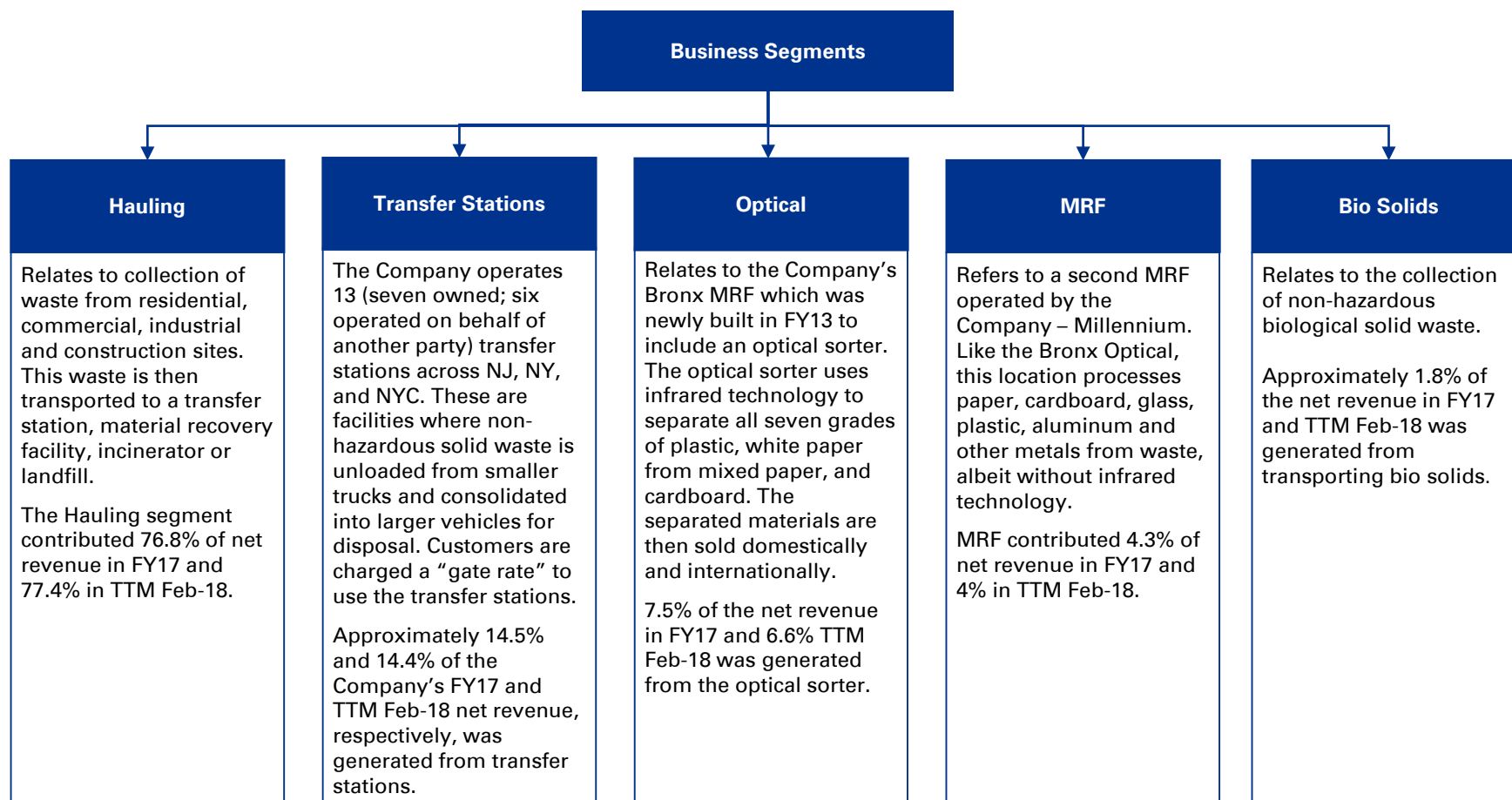
Business overview

- The Action Environmental Group Inc. ("the Company") collects non-hazardous commercial solid waste & recyclables in New York City, northern New Jersey, and southern New York State.
- Company collects three types of waste: Residential (municipal solid waste or MSW), Construction & demolition (C&D) and Industrial, commercial and institutional (ICI) from businesses and organizations including office buildings, universities, stadiums, hospitals, hotels, restaurants, and shopping centers.
- The Company was founded in 1998 and does business as "Action Environmental" in New York City and as "Interstate Waste Services" in all other locations.

Information overview

- The analysis contained in this report was prepared based on the following sources of information and access:
 - **Data room access:** Key information from the data room including the consolidated financial statements, the customer database, and Management and Board presentations; and
 - **Discussions:** Held with Management, including the Company's CFO and Director of Finance.

Business segments



Note: Intercompany eliminations within net revenues in FY17 and TTM Feb-18 were (5)% and (4.4)% respectively.

Executive summary

Summary financials

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The tables below present the Company's internal financial statements for the fiscal years ended December 31, 2016 and 2017 and the trailing twelve months ended February 28, 2018. The FY16 and FY17 results were audited by Cohn & Reznick LLP who have issued an unqualified opinion. Refer to Appendix 2 for a reconciliation of the internal to audited financial statements.

Monthly income statement						
\$'000				As % of revenue		
	FY16	FY17	TTM Feb-18	FY16	FY17	TTM Feb-18
Revenue						
Collection Revenue	180,295	190,567	193,544	66.5%	65.1%	66.0%
Transfer Station Revenue	115,394	125,067	124,609	42.6%	42.7%	42.5%
Recycling/MRF Revenue	24,785	31,039	28,213	9.1%	10.6%	9.6%
Fuel Surcharge Revenue	2,221	1,633	1,500	0.8%	0.6%	0.5%
NJ Recycling Tax	(1,577)	(1,497)	(1,485)	(0.6)%	(0.5)%	(0.5)%
Subcontractor Revenue	32	32	32	0.0%	0.0%	0.0%
Rental Income-Rolloff	573	611	616	0.2%	0.2%	0.2%
Other Operational Revenue	397	283	285	0.1%	0.1%	0.1%
Service Discounts & Allowances	(217)	(221)	(227)	(0.1)%	(0.1)%	(0.1)%
Intercompany Revenue-Elimination	(50,794)	(54,915)	(53,678)	(18.7)%	(18.8)%	(18.3)%
Revenue	271,110	292,600	293,409	100.0%	100.0%	100.0%
Transportation and disposal	(119,245)	(127,223)	(128,028)	(44.0)%	(43.5)%	(43.6)%
Net revenue	151,865	165,376	165,381	56.0%	56.5%	56.4%
Cost of sales						
Salary and wages	(65,969)	(71,246)	(72,565)	(24.3)%	(24.3)%	(24.7)%
Other cost of sales	(30,502)	(33,287)	(33,499)	(11.3)%	(11.4)%	(11.4)%
Cost of sales	(96,471)	(104,532)	(106,064)	(35.6)%	(35.7)%	(36.1)%
Gross Profit	55,394	60,844	59,317	20.4%	20.8%	20.2%
SG&A	(28,177)	(30,059)	(29,956)	(10.4)%	(10.3)%	(10.2)%
Operating income	27,217	30,785	29,361	10.0%	10.5%	10.0%
Amortization & depreciation	(14,469)	(14,756)	(15,109)	(5.3)%	(5.0)%	(5.1)%
Other expenses	(13,595)	(12,802)	(13,661)	(5.0)%	(4.4)%	(4.7)%
Net income	(847)	3,227	591	(0.3)%	1.1%	0.2%
EBITDA calculation						
Interest	8,740	11,568	12,423	3.2%	4.0%	4.2%
Amortization & depreciation	14,469	14,756	15,109	5.3%	5.0%	5.1%
Taxes	211	138	139	0.1%	0.0%	0.0%
EBITDA, reported	22,572	29,690	28,263	8.3%	10.1%	9.6%
Other expense/(income)	4,506	778	782	1.7%	0.3%	0.3%
Acquisition expense	138	317	317	0.1%	0.1%	0.1%
EBITDA, reporting adjusted	27,217	30,785	29,361	10.0%	10.5%	10.0%

Source: Management provided information

Monthly balance sheet						
\$'000	As at			Average		
	31-Dec-16	31-Dec-17	28-Feb-18	FY16	FY17	TTM Feb-18
Assets						
Checking/savings	(970)	365	(1,622)	(497)	(101)	(280)
Accounts receivable	28,283	30,462	30,667	27,375	29,312	29,628
Other current assets	5,189	6,302	6,965	5,181	6,736	6,997
Current assets	32,502	37,130	36,010	32,058	35,947	36,345
PP&E	159,666	177,370	182,508	155,539	169,141	172,476
Accum. depr	(58,361)	(69,655)	(71,711)	(53,880)	(64,343)	(66,247)
Net fixed assets	101,305	107,715	110,797	101,658	104,799	106,229
Other assets	36,151	36,096	46,459	34,276	36,813	38,575
Total assets	169,958	180,940	193,266	167,993	177,559	181,148
Liabilities and equity						
Payables	(28,906)	(26,753)	(27,376)	(23,329)	(27,121)	(26,784)
Current portion of LTD	(2,500)	(3,688)	(3,688)	(2,500)	(2,896)	(3,094)
Current liabilities	(31,406)	(30,440)	(31,063)	(25,829)	(30,017)	(29,878)
Long term debt	(99,638)	(157,097)	(169,980)	(102,238)	(141,370)	(151,171)
Total liabilities	(131,045)	(187,537)	(201,043)	(128,067)	(171,387)	(181,049)
Equity	(38,913)	6,597	7,777	(39,926)	(6,172)	(100)
Liabilities and equity	(169,958)	(180,940)	(193,266)	(167,993)	(177,559)	(181,149)

Source: Management provided information

The Company excludes certain expenses from EBITDA as part of its internal reporting. Refer to Quality of earnings section for further details on reporting adjustments.



Quality of earnings

Supporting analysis

Quality of earnings (1) - Overview

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TTM Feb-18 EBITDA increases from \$28.3 million to \$32.5 million after reporting, potential, and pro forma adjustments. Refer to the subsequent pages for further details.

Quality of Earnings			
\$'000	FY16	FY17	TTM Feb-18
Revenue, reported	271,110	292,600	293,409
Potential adjustments	91	-	-
Pro-forma adjustments	18,752	10,745	11,576
Revenue, pro-forma adjusted	289,952	303,345	304,985
EBITDA, reported	22,572	29,690	28,263
<i>EBITDA margin, reported</i>	<i>8.3%</i>	<i>10.1%</i>	<i>9.6%</i>
Reporting adjustments	4,644	1,095	1,099
Potential adjustments	282	83	208
Pro-forma adjustments	5,100	1,478	2,933
EBITDA, pro-forma adjusted	32,598	32,345	32,503
<i>EBITDA margin, pro-forma adjusted</i>	<i>11.2%</i>	<i>10.7%</i>	<i>10.7%</i>

Source: Information provided by Management; KPMG analysis

The above quality of earnings schedule illustrates potential EBITDA adjustments and other factors to be considered which were identified for the fiscal years ended December 31, 2016, 2017 and the trailing twelve month period ended February 28, 2018.

The proposed adjustments are not necessarily all-inclusive and are based on information provided by Management.

Overview

- The quality of earnings analysis is prepared based on the following sources of information:
 - Monthly management accounts;
 - Quarterly and annual trial balance details for specific accounts;
 - Additional supporting information provided by Management; and
 - Discussions held with Management (CFO and Director of Finance)
- The nature of adjustments included in the quality of earnings analysis are as follows:
 - **Reporting adjustments:** Non-recurring costs identified by Management and tracked separately within monthly management packs;
 - **Potential adjustments:** Non-recurring items identified during the course of our diligence; and
 - **Pro forma adjustments:** Estimated adjustments required to reflect the run-rate EBITDA impact of contemplated changes to the business.
- Significant adjustments are discussed further on the following pages. Also, see 'Other considerations' for additional factors to consider.

Quality of earnings (2) - Reporting adjustments

Quality of Earnings			
			TTM
\$'000	FY16	FY17	Feb-18
Revenue, reported	271,110	292,600	293,409
Total potential adjustments	91	-	-
Total pro-forma adjustments	18,752	10,745	11,576
Revenue, pro-forma adjusted	289,952	303,345	304,985
Net income, reported	(847)	3,227	591
Add/(deduct)			
Interest, net	8,740	11,568	12,423
Depreciation & amortization	14,469	14,756	15,109
Taxes	211	138	139
EBITDA, reported	22,572	29,690	28,263
<i>EBITDA margin, reported</i>	<i>8.3%</i>	<i>10.1%</i>	<i>9.6%</i>
Reporting adjustments			
1 Investor related fees and expenses	439	509	474
2 Acquisition related expense	138	388	427
3 Other expenses	-	117	117
4 Other legal / consulting	-	51	51
5 Loss on sale of asset	162	25	25
6 Regulatory compliance audit	659	5	5
7 Paterson sale bonus	2,546	-	-
8 Bonus accrual	700	-	-
Total reporting adjustments	4,644	1,095	1,099
Total potential adjustments	282	83	208
EBITDA, potential adjusted	27,499	30,868	29,570
<i>EBITDA margin, potential adjusted</i>	<i>10.1%</i>	<i>10.5%</i>	<i>10.1%</i>
Total pro-forma adjustments	5,100	1,478	2,933
EBITDA, pro-forma adjustments	32,598	32,345	32,503
<i>EBITDA margin, pro-forma adjusted</i>	<i>11.2%</i>	<i>10.7%</i>	<i>10.7%</i>

Source: Information provided by Management; KPMG analysis

Reporting adjustments

The following are non-operating items identified by Management and excluded from EBITDA in the Company's internal monthly reports:

- Investor related fees and expenses:** Relates to fees paid to the Company's two financial sponsors on a quarterly basis (approximately \$200,000 annually), management fees for minority investors, specific audits requested by investors, and the investors' annual Waste Expo costs. With respect to financial sponsor fees, the Company receives capital structuring, financial engineering, and modeling assistance from their sponsors. These expenses are excluded from EBITDA given their non-operating nature.
- Acquisition related expenses:** Relates to advisor fees for successful and unsuccessful transactions. The Company does not allocate employee time to the acquisition expense account. FY16 costs related to the JF Morena ("Morena") and Pequannock acquisitions; FY17 expenses related to the Mid Bronx acquisition and advisor fees for the current transaction. These amounts have been added back to EBITDA as they were non-operating in nature.
- Other expenses:** Consists primarily of settlement payments for termination lawsuits initiated by three employees (\$109,000) and benefits payment resulting from a union audit (\$8,000) in TTM Feb-18. These amounts have been fully settled and have been added back as they were non-operating in nature.
- Other legal / consulting:** Relates to legal fees paid in connection with the Company's Garfield domain appeal. The Company operates a transfer station in Garfield, which was part of a group of properties identified by the city for redevelopment. As of Feb-18, the Company has successfully appealed the redevelopment decision.
- Loss on sale of asset:** Relates to the net loss on disposal of equipment, which has been added back as a non-operating item.
- Regulatory compliance audit:** Relates to non-recurring compliance and legal costs pertaining to a BIC investigation. These expenses largely ceased in Dec-16.

Quality of earnings (3) – Reporting adjustments

Reporting adjustments (cont'd.)

7. **Paterson sale bonus:** In Oct-16, the Company completed a sale-leaseback transaction of a building and land in Paterson, NJ to one of its shareholders for \$1.4 million. To assist the shareholder with the purchase, the Company recorded a \$2.5 million deferred compensation liability in Sep-16, payable to the stockholder evenly over three years (annually), commencing Sep-17. Management represents that the deferred compensation represented a make-whole payment to the shareholder for foregone equity from the Company's acquisition of IWS. As this was a non-recurring transaction, the impact has been excluded from EBITDA.

The Company's lease for the same property expires in Sep-31. Monthly rental payments are \$20,000, increasing annually at 3% throughout the life of the lease. Refer to adjustment #21 for the pro forma impact to historical EBITDA reflecting the new lease arrangement.

The Company also deferred a gain of \$0.5 million from the sale for tax purposes. The gain is amortized to rent expense over the lease term. Refer to adjustment #11 for the corresponding add-back.

8. **Bonus accrual:** The Company's non-union employees participate in a bonus plan which is tied to EBITDA. The bonus pool is determined using budgeted EBITDA, and increases or decreases by set increments ranging from \$0.25 to \$0.50 for each \$1 in EBITDA above or below budget (there is a minimum EBITDA threshold below which no bonus is payable). The Company significantly outperformed budget in FY16 and Management trued up the bonus expense by \$700,000 in Dec-16. This bonus was recorded below EBITDA in the internal management reports.

Quality of earnings (4) - Potential adjustments

Quality of Earnings			
			TTM
\$'000	FY16	FY17	Feb-18
Revenue, reported	271,110	292,600	293,409
Potential adjustments			
12 Bad debt expense	91	-	-
Total potential adjustments	91	-	-
Total pro-forma adjustments	18,752	10,745	11,576
Revenue, pro-forma adjusted	289,952	303,345	304,985
EBITDA, reported	22,572	29,690	28,263
<i>EBITDA margin, reported</i>	<i>8.3%</i>	<i>10.1%</i>	<i>9.6%</i>
Total reporting adjustments	4,644	1,095	1,099
EBITDA, reporting adjusted	27,217	30,785	29,361
<i>EBITDA margin, reporting adjusted</i>	<i>10.0%</i>	<i>10.5%</i>	<i>10.0%</i>
Potential adjustments			
9 FY17 insurance SL	-	-	129
10 Non-recurring environmental cost	110	116	113
11 Paterson deferred gain	(8)	(33)	(33)
12 Bad debt expense	181	-	-
Total potential adjustments	282	83	208
EBITDA, potential adjusted	27,499	30,868	29,570
<i>EBITDA margin, potential adjusted</i>	<i>10.1%</i>	<i>10.5%</i>	<i>10.1%</i>
Total pro-forma adjustments	5,100	1,478	2,933
EBITDA, pro-forma adjustments	32,598	32,345	32,503
<i>EBITDA margin, pro-forma adjusted</i>	<i>11.2%</i>	<i>10.7%</i>	<i>10.7%</i>

Source: Information provided by Management; KPMG analysis

Potential adjustments

The following are potential adjustments to EBITDA identified during diligence:

- FY17 insurance SL:** The Company recorded a catch-up payment in Dec-17 for trailing vehicle and liability insurance claims. This adjustment reallocates the catch-up payment on a straight line basis across FY17.
- Non-recurring environmental cost:** These expenses related to costs incurred to remediate storm water leachate runoff. The Company is in the process of making these improvements to all of its facilities, giving rise to costs each year historically. No additional expenses would be incurred once work is completed.
- Paterson deferred gain:** Consistent with QofE reporting adjustment #7, the Company recognized a gain upon the sale and leaseback of the Paterson building, to be amortized over the life of the lease. This adjustment removes the amortization of the gain as the amount is non-cash and non-operating in nature.
- Bad debt expense:** The Company wrote off \$283,000 in Nov-16 pertaining to a Bronx customer, of which \$192,000 related to FY16 revenue and \$91,000 related to FY15. This was recorded in the Hauling division. In addition, the Bronx TS division also recorded a \$90,000 bad debt expense. This adjustment reverses the revenue impact relating FY15 sales, and adds back the bad debt expense recorded in FY16.

Bad debt expense			
			TTM
\$'000	FY16	FY17	Feb-18
Revenue, recorded (per customer database)	(91)	-	-
IS_231-Bronx TS bad debt expense	(90)	-	-
Total related to bankrupt customer	(181)	-	-
Revenue impact	91	-	-
EBITDA impact	181	-	-

Source: Information provided by Management; KPMG analysis

Quality of earnings (5) - Pro forma adjustments

Quality of Earnings			
			TTM
\$'000	FY16	FY17	Feb-18
Revenue, reported	271,110	292,600	293,409
Total potential adjustments	91	-	-
Revenue, potentially adjusted	271,200	292,600	293,409
Pro-forma adjustments			
13 Acquisitions	10,629	7,190	5,992
15 Run-rate JC MRF (Casanova relocation)	3,672	3,672	3,672
16 Single Stream run-rate impact	3,372	2,810	2,248
17 Bronx tolling agreement	569	70	58
18 Lost municipal contract	(1,884)	(631)	(313)
19 Constant commodity	n.q.	(2,366)	(80)
20 Run-rate biosolids contract	2,394	-	-
Total pro-forma adjustments	18,752	10,745	11,576
Revenue, pro-forma adjusted	289,952	303,345	304,985
EBITDA, reported	22,572	29,690	28,263
EBITDA margin, reported	8.3%	10.1%	9.6%
Total reporting adjustments	4,644	1,095	1,099
Total potential adjustments	282	83	208
EBITDA, potential adjusted	27,499	30,868	29,570
EBITDA margin, potential adjusted	10.1%	10.5%	10.1%
Pro forma adjustments			
13 Acquisitions	2,388	1,691	1,440
14 Restructuring	591	655	676
15 Run-rate JC MRF (Casanova relocation)	549	549	549
16 Single Stream run-rate impact	328	273	218
17 Bronx tolling agreement	569	70	58
18 Lost municipal contract	(320)	(101)	(53)
19 Constant commodity	n.q.	(1,659)	44
20 Run-rate biosolids contract	1,195	-	-
21 Sale and leaseback rent	(200)	-	-
Total pro-forma adjustments	5,100	1,478	2,933
EBITDA, pro-forma adjustments	32,598	32,345	32,503
EBITDA margin, pro-forma adjusted	11.2%	10.7%	10.7%

Source: Information provided by Management; KPMG analysis



Pro-forma adjustments

The following are pro-forma adjustments to EBITDA identified during diligence:

- 13. Acquisitions:** Company completed acquisitions of Pequannock, Morena, and Mid Bronx in Jun-16, Aug-16, and Jan-18 respectively. This adjustment reflects the estimated run-rate EBITDA from Management's internal models. Refer to Appendix 3 for additional details on acquisitions completed in the historical period.

Pro forma acquisitions impact				
	Acquisition			TTM
\$'000	date	FY16	FY17	Feb-18
Revenue				
Mid Bronx	5-Jan-18	7,190	7,190	5,992
FY18 acquisitions		7,190	7,190	5,992
Morena	15-Aug-16	556	-	-
Pequannock	24-Jun-16	2,883	-	-
FY16 acquisitions		3,439	-	-
Acquisitions - run-rate revenue		10,629	7,190	5,992
Gross profit				
Mid Bronx (Budget)	5-Jan-18	1,503	1,503	1,253
Mid Bronx - Route synergies	5-Jan-18	188	188	188
FY18 acquisitions		1,691	1,691	1,440
Morena	15-Aug-16	115	-	-
Pequannock	24-Jun-16	582	-	-
FY16 acquisitions		697	-	-
Acquisitions - run-rate EBITDA		2,388	1,691	1,440

Source: Information provided by Management; KPMG analysis

- 14. Restructuring:** The Company eliminated a number of redundant positions in Apr-18. The run-rate savings are estimated to be \$0.7 million for the TTM Feb-18 period. Refer to Appendix 4 for a breakdown of this adjustment.
- 15. Run-rate JC MRF (Casanova relocation):** The Company is substantially complete with its relocation of the Bronx MRF (Casanova) to Jersey City. The Bronx MRF ceased operations in Feb-15; the Jersey City MRF is forecasted to begin operations Jul-18. This adjustment represents the estimated incremental run-rate from third party tons to the Jersey City MRF. Refer to Appendix 5 for further details.

Quality of earnings (6) - Pro forma adjustments

Pro-forma adjustments (cont'd.)

- 16. Single Stream run-rate impact:** Reflects the estimated run-rate EBITDA of Single Stream services. Beginning in Jul-17, the City of New York required all commercial businesses to put out single stream recycling. This resulted in additional labor costs for the Company, both to service the single stream volume as well as sorting costs due to contamination of the Company's OCC routes. However, Management was able to increase prices in its NYC hauling division to offset some of the cost increases.

The table below highlights the estimated run-rate EBITDA of single stream services; revenue and expenses recognized to date were obtained from MD&A budget to actual commentary, as single stream was not in the FY17 budget. In estimating the run-rate impact, monthly incremental expenses were reduced by 50% to account for potential efficiencies once the Company has adjusted to processing single stream. Refer to Appendix 6 for further discussion.

NYC single stream pro forma			
	TTM		
\$'000	FY16	FY17	Feb-18
Incremental revenue	3,372	2,810	2,248
Average NYC hauling gross margin	20.6%	20.6%	20.6%
Single Stream hauling gross margin	694	578	462
Run-rate Optical Sorter costs	(366)	(305)	(244)
Estimated run-rate Single Stream gross profit	328	273	218

Source: Information provided by Management; KPMG analysis

Pro-forma adjustments (cont'd.)

- 17. Bronx tolling agreement:** The Company entered into a reciprocal agreement with IESI in Jan-17 whereby the latter would use the Company's transfer stations and the Company would use IESI's landfills. The transfer station volumes were incremental to the Company's existing business, as IESI did not previously use the Company's New York City transfer stations. Management indicated that no additional staff were hired to service the additional volume. Furthermore, Management represents that historically, the agreement was a verbal one, however, a formal contract is in the process of being drafted. The historical impact is summarized below, as well as the proposed FY18 terms.

Bronx tolling agreement				FY18 Agreement	
	Historical			Proposed	Actual
			TTM	FY18 monthly	YTD Feb-18 monthly
\$'000	FY16	FY17	Feb-18		
Inbound tons (tons)	35,121	93,769	93,545	6,000	7,928
Gate rate (US\$)	10.50	9.25	10.00	10.00	10.00
Reported IESI tolling revenue	369	867	877	60	79
Run rate					
FY18 (As reported)	-	-	159	-	-
FY17 (Actual volumes at FY18 gate rate)	-	938	777	-	-
FY16 (Avg- FY17 volumes at FY18 gate rate)	938	-	-	-	-
Adjusted Revenue	938	938	935	-	-
Incremental Rev/EBITDA adjustment	569	70	58	60	79

Source: Information provided by Management; KPMG analysis

Management represents that while the agreed-upon transfer station volumes are 6,000 tons per month, the actual volumes realized in FY18 were approximately 8,000 tons per month at the new gate rate of \$10/ton.

Quality of earnings (7) – Pro forma adjustments

Pro-forma adjustments (cont'd.)

- 18. Lost municipal contract:** In Apr-17, the Company terminated a municipal collections contract with the city of Newark, obtained as part of the D&J Marangi acquisition in Dec-15. This contract had a lower margin than other municipal contracts due to higher-than-average payroll expenses. The contract had a dedicated supervisor and two loaders for each of the five to six trucks servicing the routes. Post-termination, the supervisor position was eliminated along with half of the direct labor employees. The remainder were absorbed to replace regular employee churn. Management represents the contract was self-contained and revenue and expenses were tracked specifically in the Company's systems.

Newark lost contract			
	TTM		
\$'000	FY16	FY17	Feb-18
Revenue (collection)	1,884	631	313
Payroll	(872)	(287)	(141)
Payroll taxes	(88)	(33)	(15)
Benefits	(202)	(73)	(36)
Workers compensation	(133)	(44)	(21)
Fuel	(94)	(31)	(15)
R&M	(111)	(40)	(20)
Truck insurance	(62)	(23)	(11)
COGS excl. T&D	(1,564)	(530)	(260)
Gross profit excl. T&D	320	101	53
Gross profit margin excl. T&D	17.0%	16.1%	16.9%

Source: Information provided by Management; KPMG analysis

- 19. Constant commodity:** The Company's recycling revenues and margins experienced fluctuation in recent months due to commodity price volatility. We have calculated the indicative impact to EBITDA holding all commodity prices constant at the average over the last 60 months. The FY16 impact of this adjustment is unquantified as we understand the Company's rebate structure is not linear with commodity prices.

Pro-forma adjustments (cont'd.)

- 19. Constant commodity (cont'd):** The table below illustrates the revenue and margin impact applying the last 60 months' (from Feb-18) average price to historical volumes. Refer to Appendix 7 for further analysis on commodity prices.

Constant commodity						
\$'000	Revenue			Margin		
	Base	Scenario 1	Variance Scenario 1	Base	Scenario 1	Variance Scenario 1
FY16	18,950	n.q.	n.q.	16,800	n.q.	n.q.
FY17	22,331	19,966	(2,366)	18,976	17,317	(1,659)
TTM Feb-18	20,512	20,432	(80)	17,677	17,721	44

Source: Information provided by Management; KPMG analysis

Note: Scenario 1 assumes all commodity prices set at last 60 months' average.

- 20. Run-rate biosolids contract:** In Aug-16, the Company renewed a biosolid disposal contract, increasing the spread between revenue and T&D costs from \$4/ton in YTD Jul-16 to \$21/ton from Aug-16 through Jan-18. We have applied the increase in spread on the monthly tons over the historical period prior to Aug-16.
- 21. Sale and leaseback rent:** Reflects the pro forma rent for the Paterson location sold and leased back in Oct-16 (see adjustment #7 for further details) for the period prior to sale. The Company's lease requires base monthly payments of \$20,000 with increases of 3% annually throughout the life of the lease (ending Sep-31).

Quality of earnings (8) - Other considerations

Other considerations

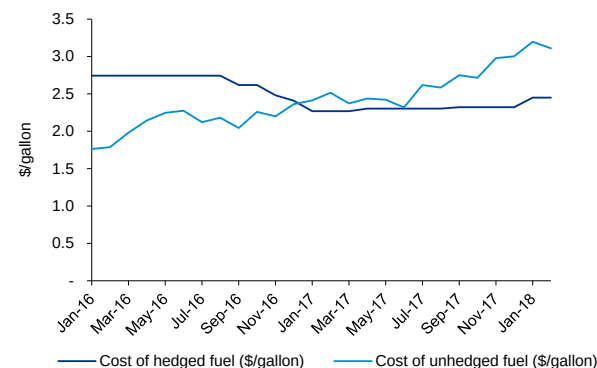
The following are items related to other business trends that may be considered in the overall evaluation of the business. These items may be subjective in nature and as a result, they have not been included in the quality of earnings schedule.

- A. Repair & Maintenance cost reduction:** The Company spent approximately \$11.6 million in fleet capex in FY17. The Company plans to acquire more trucks in FY18. These purchases are to replace the existing fleet, which had an average age of 9.1 years at March 1, 2018. Management estimates the investment will result in savings of \$285,000 in repairs and maintenance savings annually – approximately 5% of historical expenses – and has reflected this in the FY18 budget.
- B. Single Stream initial disruption:** In addition to the run-rate impact of NYC's single stream mandate (see adjustment #16 for discussion), the process also resulted in one-time transition costs in the form of lost revenue (due to OCC contamination) and increased hauling and sorting labor.

- C. Savings on hedged fuel:** Historically, 55% to 60% of the Company's monthly fuel consumption were from hedged gallons (fixed-price purchase contracts). Currently, 30% to 40% of fuel requirements are hedged. The resulting impact on fuel costs as a result of the hedging arrangement is summarized below.

Fuel costs savings			
			TTM
\$'000	FY16	FY17	Feb-18
Fuel expense			
Hedged fuel expense	4,366	3,964	4,010
Unhedged fuel expense	2,469	3,295	3,651
Fuel expense	6,835	7,259	7,661
Gallons ('000) consumed			
Hedged	1,638	1,722	1,722
Unhedged	1,161	1,258	1,324
Fuel gallons consumed	2,799	2,980	3,046
% of gallons hedged	58.5%	57.8%	56.5%
Fuel cost per gallon			
Hedged fuel (\$/gallon)	2.7	2.3	2.3
Unhedged fuel (\$/gallon)	2.1	2.6	2.8
Hedging impact (loss) /savings (\$/gallon)	(0.5)	0.3	0.4
Hedging impact (Incremental)/Savings	(896)	480	607

Hedged vs. unhedged fuel prices



Source: Information provided by Management; KPMG analysis

Quality of earnings (9) - Other considerations

- D. Upcoming acquisitions:** The Company is in the process of negotiating the acquisition of several waste management companies in the greater New Jersey and New York area. The revenue and EBITDA impact of the upcoming acquisitions have not been included in pro forma adjustments as the acquisitions have not been completed at the date of the report. The listing below outlines the companies in Action's acquisition pipeline and the deal status.

Upcoming acquisitions						
\$'000	Geography	Revenue	Pro forma EBITDA	Information received	LOI submitted	Diligence completed
Firm 1	Northern, NJ	600	120		✓	
Firm 2	Scotch Plains, NJ	12,144	2,700	✓	✓	✓
Firm 3	Closter, NJ	13,792	2,125	✓	✓	
Firm 4	Northern, NJ	5,500	1,000	✓		
Firm 5	Secaucus, NJ	2,344	526	✓	✓	✓
Firm 6	Sullivan County, NY	5,050	1,010	✓		
Firm 7	Newark, NJ	29,181	6,089	✓		
Total		68,611	13,570			

Source: Information provided by Management; KPMG analysis

As at February 28, 2018, there is an over 90 days trade receivable outstanding of \$608,000 from this counterparty that the Company will deduct from the acquisition purchase price. The amount has not been adjusted from NWC pending the successful acquisition of the counterparty.



Income statement

Overview by division

The table below and on the following page present the Company's reported results by division. Refer to subsequent pages for commentary on the year-over-year change by division. For a full breakdown by location, refer to Appendix 12.

Action combined																					
\$'000	TTM			TTM			TTM			TTM			TTM			TTM			TTM		
	FY16	FY17	Feb-18	FY16	FY17	Feb-18	FY16	FY17	Feb-18	FY16	FY17	Feb-18	FY16	FY17	Feb-18	FY16	FY17	Feb-18	FY16	FY17	Feb-18
	Revenue			T & D Cost			Cost of sales			Gross profit			SG&A			EBITDA			EBITDA margin		
Hauling	189,458	202,389	204,148	(73,365)	(75,355)	(76,050)	(78,244)	(84,677)	(86,331)	37,848	42,356	41,768	(10,319)	(10,019)	(10,037)	27,529	32,337	31,731	14.5%	16.0%	15.5%
Transfer stations	103,140	107,823	107,668	(79,911)	(83,866)	(83,826)	(10,961)	(11,411)	(11,638)	12,268	12,546	12,204	(3,371)	(3,670)	(3,655)	8,897	8,876	8,549	8.6%	8.2%	7.9%
Biosolids	10,841	15,891	15,598	(9,382)	(12,787)	(12,556)	(164)	(133)	(133)	1,295	2,970	2,909	(2)	(2)	0	1,293	2,968	2,909	11.9%	18.7%	18.6%
Optical & MRF	18,465	21,412	19,672	(1,900)	(1,888)	(2,073)	(12,547)	(16,198)	(14,807)	4,017	3,326	2,792	(1,742)	(1,993)	(1,987)	2,275	1,333	805	12.3%	6.2%	4.1%
Corporate	-	-	-	-	-	-	(34)	(365)	(373)	(34)	(365)	(373)	(12,742)	(14,358)	(14,260)	(12,777)	(14,723)	(14,634)	-	-	-
I/C Eliminations	(50,794)	(54,915)	(53,678)	45,314	46,673	46,477	5,479	8,406	7,373	(0)	164	172	(1)	(170)	(170)	(1)	(6)	1	0.0%	0.0%	(0.0%)
Total Action combined	271,110	292,600	293,409	(119,245)	(127,223)	(128,028)	(96,471)	(104,379)	(105,910)	55,394	60,998	59,471	(28,177)	(30,213)	(30,109)	27,217	30,785	29,361	10.0%	10.5%	10.0%

Source : Management provided information, KPMG analysis

Reflects reporting adjusted EBITDA. Refer to quality of earnings for further details on reporting adjustments.

Hauling (1)

The table below highlights the reported gross profit for the Hauling division. SG&A costs for the business were primarily reported in the Corporate department and analyzed in aggregate on page 27.

Hauling division			
			TTM
\$'000	FY16	FY17	Feb-18
Revenue			
Commercial Hauling	107,888	115,396	117,339
Municipal	13,323	13,210	13,267
Rolloff	59,084	61,920	62,917
Collection Revenue	180,295	190,525	193,524
Recycling/MRF Revenue	916	1,280	1,253
Fuel Surcharge Revenue	2,221	1,633	1,500
NJ Recycling Tax	6	6	6
Subcontractor Revenue	32	32	32
Rental Income-Rolloff	573	611	616
Other Operational Revenue	220	163	144
Service Discounts & Allowances	(212)	(211)	(216)
Others	3,757	3,514	3,335
Intercompany Revenue	5,407	8,349	7,290
Revenue	189,458	202,389	204,148
Transportation and Disposal	(73,365)	(75,355)	(76,050)
Net Revenue	116,092	127,033	128,098
Cost of sales			
Payroll Expense - Ops	(40,301)	(43,260)	(44,095)
Payroll Taxes - Ops	(3,750)	(3,893)	(3,843)
Employee Benefits - Ops	(5,722)	(6,276)	(6,321)
Workers Compensation	(3,603)	(4,085)	(4,272)
Salary and Wages	(53,376)	(57,515)	(58,532)
Other Cost of Sales	(24,868)	(27,162)	(27,799)
Cost of sales	(78,244)	(84,677)	(86,331)
Gross Profit	37,848	42,356	41,768
Gross margin	20.0%	20.9%	20.5%
KPI's			
Total Hauling tonnage ('000)	1,063	1,060	1,069
Revenue per ton	170	180	181
Rolloff- Pulls ('000)	101.3	108.9	110.6
Revenue per pull	583	569	569

Hauling revenue

Hauling revenues increased from \$189.5 million in FY16 to \$204.1 million in TTM Feb-18.

- **Collection revenue:** Increased from \$180.3 million in FY16 to \$193.5 million in TTM Feb-18 due to the following;
 - **New single stream service in NYC:** The new single stream service in NYC contributed an additional \$280,000 of additional revenue per month starting in Q4-17. Refer to QofE adjustment #16 for further discussion.
 - **Acquisitions:** Company completed acquisitions of Pequannock and Morena in Jun-16 and Aug-16 respectively contributing additional hauling revenue of approximately \$0.6 million per month. The Company also acquired Mid Bronx in Jan-18, which is expected to generate \$0.6 million in incremental revenue per month. Refer to QofE adjustment #13 for further discussion.
 - **Roll-off:** Roll-off revenue increased from \$59.1 million in FY16 to \$62.9 million in TTM Feb-18. This was driven by the Company's effort to build up its roll-off customer base in its NYC entity over the last 24 months through new fleet and containers, and from the acquisition of Pequannock in Jun-16. Pulls increased from 101.2k pulls in FY16 to 109.7k pulls in TTM Feb-18 while revenue per pull declined slightly from \$583/pull to \$568/pull from FY16 to TTM Jan-18.
 - **New customers and price increases:** Sales per ton increased from \$170/ton to \$181/ton from FY16 to TTM Feb-18, due to new customers won, standard and surgical price increases applied to existing customers each year, and pricing formula changes (e.g. inclusion of fuel surcharges in collection prices instead of a separate billing item).

The increase in collection revenue was partially offset by approximately \$1.3 million due to lost Newark municipal contract in Apr-17. Refer to QofE adjustment #18 for further details.

- **Intercompany revenue:** OCC price fluctuations contributed to the increase in intercompany revenue from \$5.4 million in FY16 to \$8.3 million in FY17, and subsequent decrease to \$7.3 million in TTM Feb-18. The Company adjusts the rebates to the hauling division to achieve a consistent spread per ton of commodities within the MRF segment.

Source : Management provided information, KPMG analysis

Income statement

Hauling (2)

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Hauling division			
\$'000	FY16	FY17	TTM Feb-18
Revenue			
Collection Revenue	180,295	190,525	193,524
Others	3,757	3,514	3,335
Intercompany Revenue	5,407	8,349	7,290
Revenue	189,458	202,389	204,148
Disposal - Hauling	(28,031)	(28,786)	(29,693)
Intercompany Costs-Elimination	(45,334)	(46,569)	(46,356)
Transportation and Disposal	(73,365)	(75,355)	(76,050)
Net Revenue	116,092	127,033	128,098
Cost of sales			
Payroll Expense - Ops	(40,301)	(43,260)	(44,095)
Payroll Taxes - Ops	(3,750)	(3,893)	(3,843)
Employee Benefits - Ops	(5,722)	(6,276)	(6,321)
Workers Compensation	(3,603)	(4,085)	(4,272)
Salary and Wages	(53,376)	(57,515)	(58,532)
Fleet Operations	(1,070)	(1,000)	(1,034)
Subcontractor Expense	(2,577)	(2,878)	(2,951)
Licenses & Permits	(1,108)	(1,249)	(1,291)
Vehicle Insurance	(5,014)	(5,955)	(6,202)
Bridges, Tunnel and Tolls	(1,942)	(2,064)	(2,061)
Bailing Wire	(72)	(68)	(66)
Fuel	(5,850)	(6,130)	(6,461)
Purch / Rebate - Hauling	(715)	(1,223)	(1,167)
Repairs & Maintenance	(6,454)	(6,595)	(6,554)
Intercompany Elimination-Rebates	(66)	-	(13)
Other Cost of Sales	(24,868)	(27,162)	(27,799)
Cost of sales	(78,244)	(84,677)	(86,331)
Gross Profit	37,848	42,356	41,768
Gross margin	20.0%	20.9%	20.5%
KPI's			
Total Hauling tonnage ('000)	1,063	1,060	1,069
Revenue per ton	170	180	181
Rolloff- Pulls ('000)	101.3	108.9	110.6
Revenue per pull	583	569	569

Source : Management provided information, KPMG analysis

Hauling direct costs

- **Disposal:** Disposal costs consist mainly of gate fees for transfer stations. Management explained that disposal costs increase due to contracted annual increases to a disposal agreement with Waste Management. On Jan-17 intercompany disposal rates for NYC were increased from \$69/ton to \$70/ton to align with those charged to NJ and NYS hauling, which further increased disposal costs in the TTM Feb-18 period. There have been no major price increases by the disposal sites over the historical period.
- **Cost of sales:** Increased from \$78.2 million in FY16 to \$86.3 million in TTM Feb-18, primarily attributable to:
 - **Salary and Wages:** Increase in salary and wages was driven by full-year payroll cost of drivers, helpers, and mechanics resulting from the Company's acquisition of Morena and Pequannock in FY16. Additional labor required to serve the Single Stream routes also contributed to the increase. See QofE adjustments #13 and #16 for further details.
 - **Other Cost of sales:** Increase mainly relates to:
 - **Vehicle insurance:** Mainly relates to a trailing insurance claims which the Company received from an old auto insurance policy which has been accrued at year end. Refer to QofE adjustment #9 for the normalization impact. The Company has placed the auto insurance policy in the Archway Captive (along with the Workers Comp policy) in order to make the processing of insurance claims more predictable in the future.
 - **Subcontractor expenses:** Increased from \$2.6 million in FY16 to \$3.0 million in TTM Jan-18 due to corresponding increase in Roll off revenue.
 - **Rebate:** relates to discounts and rebates given to large commercial customers that increased as result of increased commercial revenue.
 - **Others:** Corresponding increase in fuel expense, tolls, repair & maintenance, etc.

Income statement

Recycling (1)

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The table below summarizes the reported gross profit for the Company's Millennium MRF and Bronx Optical divisions (collectively "Recycling"). The division's sales are sensitive to commodity prices as over 80% of the division's outbound volume represent a form of paper commodity; the remainder is disposed of as municipal solid waste.

Millennium + Optical income statement			
			TTM
\$'000	FY16	FY17	Feb-18
Revenue			
Recycling/MRF Revenue	18,321	21,283	19,545
Other Operational Revenue	2	2	2
Intercompany Revenue-Elimination	142	127	125
Revenue	18,465	21,412	19,672
Transportation and Disposal	(1,900)	(1,888)	(2,073)
Net Revenue	16,564	19,524	17,599
Cost of sales			
Salary and Wages	(4,712)	(4,991)	(5,107)
Other Cost of Sales	(7,835)	(11,207)	(9,700)
Cost of sales	(12,547)	(16,198)	(14,807)
Gross Profit	4,017	3,326	2,792
Gross margin	21.8%	15.5%	14.2%
Volume (Tons)			
OCC	109,905	103,215	104,821
Mixed paper	19,083	17,839	17,296
Sorted office paper	6,679	4,318	3,962
Top 3 commodities	135,666	125,373	126,079
Other commodities	67,631	55,873	55,953
Commodities total	203,297	181,245	182,032
Other waste	4,849	625	(227)
MRF and Optical sorter total	208,146	181,870	181,805
Price (\$/ton)			
OCC	129	170	155
Mixed paper	91	96	77
Sorted office paper	160	186	185
Top 3 commodities	126	160	145
Other commodities	15	18	18
Commodities total	89	116	106

Source : Management provided information, KPMG analysis

MRF and optical sorter analysis

The Company currently operate the following recycling facilities:

- An optical sorter located in the Bronx (housed in the same building as the Bronx transfer station);
- A material recovery facility ("MRF") located in NY State, referred herein as "Millennium";
- The Company historically operated a MRF in the Bronx ("Casanova"); the operations were discontinued in Dec-15. Management represents that the Casanova MRF has been dismantled and moved to Jersey City. Management anticipates the Casanova MRF to resume operations in New Jersey starting Jul-18.
- **Recycling/MRF revenue** - Recycling revenue increased from \$18.3 million in FY16 to \$19.5 million in TTM Feb-18 as a result of the following:
 - *Commodities price*: The blended commodities prices of the Company increased from \$89/ton in FY16 to \$106/ton in TTM Feb-18, mainly driven by the price increase of old corrugated cardboard ("OCC"), mixed paper and sorted office paper ("SOP").
 - The higher blended commodities price was reflected from Q3-16 to Q3-17, peaking in Q1-17 at \$135/ton and decrease to \$81/ton in Q4-17 and \$64/ton in YTD Feb-18.
 - The higher sales price was partially offset by lower volume processed at the recycling division; over 203,000 tons of commodities were processed in FY16, 181,000 tons in FY17 and 182,000 tons in TTM Feb-18. The decrease in commodity tons sold from FY16 to FY17 is due to the loss of Five Star Carting at the Bronx Optical sorter. Five Star Carting contributed 1,800 – 2,000 tons per month in inbound volumes.

Millennium + Optical income statement			
\$'000	FY16	FY17	TTM Feb-18
Revenue			
Revenue	18,465	21,412	19,672
Disposal - MRF	(1,830)	(1,708)	(1,898)
Disposal - Transfer Stations	-	(62)	(62)
Intercompany Costs-Elimination	(70)	(118)	(113)
Transportation and Disposal	(1,900)	(1,888)	(2,073)
Net Revenue	16,564	19,524	17,599
Cost of sales			
Salary and Wages	(4,712)	(4,991)	(5,107)
Fleet Operations	(14)	(16)	(15)
Licenses & Permits	(1)	(1)	(1)
Bridges, Tunnel and Tolls	(83)	(53)	(51)
Bailing Wire	(233)	(204)	(203)
Fuel	(225)	(208)	(216)
Purch / Rebate - MRF	(674)	(1,046)	(1,047)
Purch / rebate - 3rd party	(805)	(1,006)	(574)
Repairs & Maintenance	(477)	(446)	(438)
Intercompany Elimination-Rebates	(5,324)	(8,227)	(7,155)
Other Cost of Sales	(7,835)	(11,207)	(9,700)
Cost of sales	(12,547)	(16,198)	(14,807)
Gross Profit	4,017	3,326	2,792
Gross margin	21.8%	15.5%	14.2%

Source : Management provided information, KPMG analysis

MRF and optical sorter analysis

- **Cost of sales** - Cost of sales increased from \$12.6 million to \$14.8 million from FY16 to TTM Feb-18 due to the following:
 - *Salary and wages*: Salary and wages increased from FY16 to TTM Feb-18 due to the additional headcount required to sort the contaminated waste from a combination of the NYC single stream recycling initiative that started in Aug-18 and Chinese Government's plan to reduce the current specified levels of contamination from 1.5% to 0.5%.
 - *Third party purchase rebate*: The Company offers a rebate to certain third party customers on MRF and Optical for the commodities that are dropped off at their facilities. The rebates are sensitive to the price of the underlying commodities. The rebate increase to customers was not fully absorbed by the price increase upon the sale of the ultimate commodities.
 - *Intercompany elimination*: The intercompany cost of sales represent the price paid by Recycling to Hauling division for the material to be recovered through the recycling process. Purchase rebate and intercompany eliminations increase from FY16 to TTM Feb-18 are driven by the increase in intercompany transfer pricing that was not completely offset by the sales price increase.

Relates to third party rebates.

Transfer stations

The table below summarizes the Company's reported gross margin for all the Transfer Stations either owned or operated on behalf of other companies.

Transfer stations			
\$'000	FY16	FY17	TTM Feb-18
Revenue			
Transfer Station Revenue	59,307	62,700	62,749
Recycling/MRF Revenue	-	38	39
NJ Recycling Tax	(1,583)	(1,503)	(1,491)
Other Operational Revenue	175	160	159
Service Discounts & Allowances	(5)	(10)	(11)
Intercompany Revenue	45,245	46,438	46,223
Revenue	103,140	107,823	107,668
Disposal - Transfer Stations	(56,392)	(60,829)	(60,351)
Long Haul Transportation	(23,451)	(22,937)	(23,363)
Long haul fuel surcharge	(67)	(100)	(111)
Intercompany Costs-Elimination	(1)	(0)	(0)
Transportation and Disposal	(79,911)	(83,866)	(83,826)
Net Revenue	23,229	23,957	23,842
Cost of sales			
Salary and Wages	(7,743)	(8,253)	(8,430)
Other Cost of Sales	(3,218)	(3,159)	(3,208)
Cost of sales	(10,961)	(11,411)	(11,638)
Gross Profit	12,268	12,546	12,204
Gross margin %	11.9%	11.6%	11.3%
Inbound KPIs			
Inbound tons ('000)	1,820	1,917	1,919
Internal tons ('000)	658	669	666
3rd party ('000)	1,162	1,248	1,253
Internal revenue \$/ton	68.8	69.4	69.4
3rd party revenue \$/ton	51.0	50.2	50.1
Outbound KPIs			
Outbound tons ('000)	1,845	1,938	1,940
Disposal cost \$/ton	(30.6)	(31.4)	(31.1)
Long haul transport cost \$/ton	(12.7)	(11.8)	(12.0)

Source : Management provided information, KPMG analysis

Revenue

Revenue increased from \$103.1 million in FY16 to \$107.7 million in TTM Feb-18.

- **Transfer station revenue:** Related to third party sales with the increase driven primarily by volume as average prices remained consistent at \$50-\$51/ton from FY16 to TTM Feb-18. The volume increase was primarily attributable to the IESI tolling arrangement beginning FY17, which contributed an incremental 58,000 tons. Refer to QofE adjustment #17 for further details.
- **Intercompany revenue:** Increased \$1.0 million from FY16 to TTM Feb-18 driven by incremental price increase and volume. This intercompany revenue eliminates with the transportation and disposal costs from the Hauling division.

Transportation and disposal

Transportation and disposal costs increased from \$79.9 million in FY16 to \$83.8 million in TTM Feb-18.

- **Disposal – transfer stations:** Increase from FY16 to TTM Feb-18 is driven by the additional volumes realized, as well as higher tipping fees from landfill operators.
- **Long haul transportation:** Remained consistent from FY16 to TTM Feb-18, with additional costs from increased volumes offset by lower pricing. The Company was able to manage its transportation costs from a pricing standpoint through the use of tractors obtained from FY15 and FY16 acquisitions. The additional tractors allowed the Company to transport more tons internally.

Cost of sales

- **Salary and wages:** Increase from FY16 to TTM Feb-18 due to headcount additions as a result of the Company's increased usage of internal long haul transportation.

Bio solids

The table below summarizes the Company's reported gross margin for its Biosolids business.

Biosolids GM summary			
\$'000	FY16	FY17	TTM Feb-18
Revenue			
Revenue	10,841	15,891	15,598
Disposal - Transfer Stations	(3,908)	(6,135)	(6,054)
Long Haul Transportation	(5,475)	(6,652)	(6,502)
Transportation and Disposal	(9,382)	(12,787)	(12,556)
Net Revenue	1,459	3,103	3,042
Cost of sales			
Payroll Expense - Ops	(110)	(108)	(108)
Payroll Taxes - Ops	(10)	(9)	(8)
Employee Benefits - Ops	(11)	(11)	(11)
Workers Compensation	(5)	(5)	(6)
Salary and Wages	(137)	(133)	(133)
Other Cost of Sales	(27)	-	-
Cost of sales	(164)	(133)	(133)
Gross Profit	1,295	2,970	2,909
Gross margin %	11.9%	18.7%	18.6%
Inbound KPIs			
Inbound tons ('000)	124	147	144
Revenue \$/ton	87.5	108.1	108.6
Outbound KPIs			
Outbound tons ('000)	124	147	144
Disposal cost \$/ton	(31.5)	(41.8)	(42.2)
Long haul transport cost \$/ton	(44.2)	(45.3)	(45.3)

Source : Management provided information, KPMG analysis

Bio solids

- The Company has two biosolids removal contracts, one of which was renewed in Aug-16 resulting in better rates and another emergency contract ("Owls Head emergency contract") which began in Jan-17.
- The renegotiated biosolids removal contract from Aug-16 resulted in higher revenues and disposal costs per ton, but overall a better spread. Incremental volumes from the Owls Head emergency contract also contributed to the improvement in profitability
- Refer to QofE adjustment #20 for further details.

SG&A

The table below presents the Company's summary consolidated SG&A expenses for FY16, FY17 and TTM Feb-18. Refer to Appendix 13 for a bridge from reported to pro forma adjusted SG&A.

SG&A			
\$'000	Reported		
	FY16	FY17	TTM Feb-18
SG&A			
Payroll expense	(9,427)	(10,389)	(10,532)
Rent & RE Taxes	(5,221)	(5,982)	(5,998)
Payroll bonus expense	(1,332)	(581)	(464)
Employee benefits	(1,385)	(1,810)	(1,824)
Bad debt expense	(667)	(376)	(356)
Professional fees	(828)	(988)	(938)
Advertising	(921)	(1,066)	(911)
Others	(8,396)	(8,868)	(8,932)
Total SG&A	(28,177)	(30,059)	(29,956)

Source : Management provided information, KPMG analysis

SG&A			
\$'000	SG&A, pro forma adjusted		
	FY16	FY17	TTM Feb-18
SG&A			
Payroll expense	(8,836)	(9,734)	(9,856)
Rent & RE Taxes	(5,430)	(6,015)	(6,031)
Payroll bonus expense	(1,332)	(581)	(464)
Employee benefits	(1,385)	(1,810)	(1,824)
Bad debt expense	(487)	(376)	(356)
Professional fees	(719)	(872)	(826)
Advertising	(921)	(1,066)	(911)
Others	(8,501)	(8,973)	(8,908)
Total SG&A	(27,610)	(29,427)	(29,177)

Source : Management provided information, KPMG analysis

Selling General & Administrative expenses

SG&A expenses increased from \$28.2 million in FY16 to \$30.0 million in TTM Feb-18 mainly due to:

- **Payroll Expenses & Employee benefits:** Increase was driven by annual salary increases of 3%.
- **Rent & RE taxes:** Rent expense increased in TTM Feb-18, as the Company sold a building and land in Paterson, NJ to one of the Company's stockholders in Oct-16 and entered into a lease for the same property, expiring Sep-31. Monthly rental payments are \$20,000, increasing annually at 3% throughout the life of the lease. Refer to QofE adjustment #21 for further details.
- **Professional fees:** Increase primarily attributable to unbudgeted professional fees for an environmental site study in FY17.
- **Others:** Primarily includes increase in Building Maintenance, Workers Compensation, Safety expenses, Financial services charges, Office expenses etc.

The above increase was partially offset by decline in (i) Payroll bonus expense in FY16 for achievement of EBITDA in excess of the budgeted target, which was not the case in FY17 and (ii) Bad debt expense in FY16 as one of the Company's customers went bankrupt, resulting in the write-off of outstanding receivables to that customer.



FY18 budget

FY18 outturn - Gap analysis

FY16, FY17 and FY18 Gap analysis															
	YTD- February			YTG			Full fiscal year			% achieved in YTD			% remaining in YTG		
	YTD-16	YTD-17	YTD-18	YTG-16	YTG-17	YTG-18	FY16	FY17	FY18	YTD-16	YTD-17	YTD-18	YTG-16	YTG-17	YTG-18
\$'000	Actual	Actual	Actual	Actual	Actual	Budget	Actual	Actual	Budget	Actual	Actual	Actual	Actual	Actual	Budget
Revenue															
Revenue	40,786	46,268	47,077	230,324	246,331	256,940	271,110	292,600	304,017	15.0%	15.8%	15.5%	85.0%	84.2%	84.5%
Disposal - Hauling	(10,441)	(11,338)	(12,032)	(62,989)	(64,017)	(68,150)	(73,431)	(75,355)	(80,182)	14.2%	15.0%	15.0%	85.8%	85.0%	85.0%
Disposal - MRF	(345)	(288)	(472)	(1,580)	(1,600)	(1,956)	(1,925)	(1,888)	(2,428)	17.9%	15.2%	19.5%	82.1%	84.8%	80.5%
Disposal - Transfer Stations	(8,771)	(10,501)	(9,943)	(51,530)	(56,463)	(58,380)	(60,301)	(66,965)	(68,323)	14.5%	15.7%	14.6%	85.5%	84.3%	85.4%
Long Haul Transportation	(4,343)	(4,267)	(4,547)	(24,650)	(25,421)	(25,518)	(28,993)	(29,689)	(30,066)	15.0%	14.4%	15.1%	85.0%	85.6%	84.9%
Intercompany Costs-Elimination	6,568	7,332	7,128	38,837	39,341	42,357	45,405	46,673	49,485	14.5%	15.7%	14.4%	85.5%	84.3%	85.6%
Transportation and Disposal	(17,332)	(19,063)	(19,867)	(101,913)	(108,161)	(111,648)	(119,245)	(127,223)	(131,515)	14.5%	15.0%	15.1%	85.5%	85.0%	84.9%
Net Revenue	23,454	27,206	27,210	128,412	138,170	145,292	151,865	165,376	172,503	15.4%	16.5%	15.8%	84.6%	83.5%	84.2%
Cost of sales	(15,008)	(16,868)	(18,399)	(81,464)	(87,511)	(93,378)	(96,471)	(104,379)	(111,777)	15.6%	16.2%	16.5%	84.4%	83.8%	83.5%
Gross Profit	8,446	10,338	8,811	46,948	50,660	51,915	55,394	60,998	60,726	15.2%	16.9%	14.5%	84.8%	83.1%	85.5%
SG&A	(4,420)	(4,875)	(4,772)	(23,758)	(25,338)	(24,311)	(28,177)	(30,213)	(29,082)	15.7%	16.1%	16.4%	84.3%	83.9%	83.6%
Operating income	4,026	5,463	4,040	23,190	25,322	27,604	27,217	30,785	31,643	14.8%	17.7%	12.8%	85.2%	82.3%	87.2%
Amortization & Depreciation	(2,402)	(2,426)	(2,780)	(12,067)	(12,330)	(12,265)	(14,469)	(14,756)	(15,045)	16.6%	16.4%	18.5%	83.4%	83.6%	81.5%
Other Expenses	(1,508)	(1,544)	(2,404)	(12,087)	(11,257)	(10,517)	(13,595)	(12,802)	(12,921)	11.1%	12.1%	18.6%	88.9%	87.9%	81.4%
Net income	116	1,492	(1,144)	(963)	1,735	4,821	(847)	3,227	3,677	(13.7)%	46.2%	(31.1)%	113.7%	53.8%	131.1%
EBITDA calculation															
Interest	1,437	1,503	2,359	7,303	10,065	10,425	8,740	11,568	12,783	16.4%	13.0%	18.5%	83.6%	87.0%	81.5%
Amortization & Depreciation	2,402	2,426	2,780	12,067	12,330	12,265	14,469	14,756	15,045	16.6%	16.4%	18.5%	83.4%	83.6%	81.5%
Other Expense(s)/(Income)	70	41	44	4,436	737	94	4,506	778	138	1.6%	5.3%	32.2%	98.4%	94.7%	67.8%
Acquisition Expense	-	-	-	138	317	-	138	317	-	-	-	-	100.0%	100.0%	-
Taxes	1	0	1	210	138	(1)	211	138	-	0.4%	0.0%	-	99.6%	100.0%	-
EBITDA, reported	4,026	5,463	4,040	23,190	25,322	27,604	27,217	30,785	31,643	14.8%	17.7%	12.8%	85.2%	82.3%	87.2%

Source : Management provided information, KPMG analysis

Overview

The above analysis presents the actual results for YTD Feb-16, YTD Feb-17, and YTD Feb-18 together with a comparison to the results for the remainder of each year (YTG-16, YTG-17, and YTG-18). In relation to YTG-18, the balance represents the "gap to go" to achieve the FY18 budget. The Company's YTD Feb-18 results were short of budget primarily due to lower volumes at the transfer stations, declining commodity prices from the Optical Sorter and Millennium MRF, and higher labor costs resulting from Single Stream mandate and more stringent contamination requirements (0.05%) on exports to China.

FY18 budget - Commodity prices

Commodity - Combined														
\$'000	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total	
Outbound Tonnage														
FY16A	12,171	12,718	13,670	13,407	13,140	13,379	14,151	14,814	14,269	14,127	13,599	14,719	164,164	
FY17A	15,017	11,194	12,662	12,480	12,978	12,846	11,926	12,987	10,992	12,056	11,018	11,514	147,670	
FY18B (excl. JC MRF)	13,008	11,485	12,941	12,136	13,166	11,729	11,281	11,797	10,731	11,663	11,245	11,184	142,364	
Sales (\$'000)														
FY16A	1,166	1,213	1,407	1,401	1,372	1,422	1,500	1,983	1,711	1,708	1,711	1,871	18,465	
FY17A	2,155	1,847	2,386	1,651	1,835	2,206	2,117	2,175	1,296	1,174	1,345	1,224	21,412	
FY18B (excl. JC MRF)	1,257	1,122	1,254	1,231	1,390	1,269	1,290	1,399	1,330	1,494	1,498	1,549	16,085	
Sales per ton (\$/Ton)														
FY16A	95.8	95.4	102.9	104.5	104.4	106.3	106.0	133.9	119.9	120.9	125.8	127.1	112.5	
FY17A	143.5	165.0	188.4	132.3	141.4	171.8	177.5	167.5	117.9	97.4	122.1	106.3	145.0	
FY18B (excl. JC MRF)	96.7	97.7	96.9	101.4	105.6	108.2	114.4	118.6	124.0	128.1	133.3	138.5	113.0	

OCC													
\$'000	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
Outbound Tonnage													
FY16A	7,955	8,411	9,262	9,050	7,950	8,976	8,486	10,440	10,191	10,113	9,559	9,513	109,905
FY17A	10,528	7,408	8,790	8,084	8,850	8,529	7,938	8,662	6,262	9,824	9,347	8,993	103,215
FY18B (excl. JC MRF)	8,502	7,595	8,768	8,192	7,965	7,869	6,765	8,313	7,664	8,349	7,904	7,228	95,115
Sales (\$'000)													
FY16A	887	925	1,084	1,082	938	1,081	1,126	1,575	1,359	1,374	1,369	1,433	14,233
FY17A	1,705	1,435	1,937	1,337	1,532	1,856	1,775	1,800	1,050	967	1,162	991	17,548
FY18B (excl. JC MRF)	1,063	949	1,096	1,065	1,075	1,102	981	1,247	1,188	1,336	1,304	1,229	13,635
Sales per ton (\$/Ton)													
FY16A	111.5	110.0	117.1	119.5	117.9	120.5	132.7	150.8	133.3	135.9	143.3	150.6	129.5
FY17A	162.0	193.8	220.4	165.3	173.1	217.6	223.5	207.8	167.7	98.5	124.3	110.2	170.0
FY18B (excl. JC MRF)	125.0	125.0	125.0	130.0	135.0	140.0	145.0	150.0	155.0	160.0	165.0	170.0	143.3

Other commodities														
\$'000	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total	
Outbound Tonnage														
FY16A	4,216	4,307	4,408	4,357	5,190	4,403	5,665	4,374	4,078	4,014	4,040	5,206	54,259	
FY17A	4,489	3,786	3,872	4,396	4,128	4,317	3,988	4,325	4,730	2,232	1,672	2,521	44,455	
FY18B (excl. JC MRF)	4,506	3,890	4,173	3,944	5,200	3,860	4,516	3,483	3,067	3,314	3,341	3,956	47,249	
Sales (\$'000)														
FY16A	280	288	323	319	435	341	374	408	352	333	341	438	4,232	
FY17A	450	412	449	315	302	350	343	375	246	207	183	233	3,864	
FY18B (excl. JC MRF)	194	173	158	166	315	167	309	152	143	158	194	320	2,450	
Sales per ton (\$/Ton)														
FY16A	66.4	66.8	73.2	73.3	83.7	77.4	66.0	93.4	86.4	83.1	84.4	84.0	78.0	
FY17A	100.2	108.7	115.8	71.6	73.3	81.2	86.0	86.7	51.9	92.6	109.7	92.4	86.9	
FY18B (excl. JC MRF)	43.2	44.4	37.8	42.1	60.6	43.4	68.5	43.7	46.5	47.6	58.2	81.0	51.9	

Source : Management provided information, KPMG analysis



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Overview

The adjacent tables present the Company's historical and forecast prices for the following elements:

- Commodity sales prices on a combined basis;
- OCC prices; and
- Prices of other non-OCC commodities.

In the FY18 budget, Management has assumed OCC prices of \$125/ton for the first quarter, increasing by \$5/ton each month thereafter. In comparison, actual selling price for OCC in Jan-18 and Feb-18 were \$108/ton and \$74/ton, respectively.

Average FY18 selling price for non-OCC commodities decreased \$35/ton from FY17 levels, driven by Mixed Paper prices.

The forecast results for the JC MRF have been excluded from FY18 budget figures in this analysis to facilitate pricing comparison across historical periods, given its mid-year start and higher concentration of "clean" commodity output. The Company has budgeted approximately 3,400 tons/month of saleable commodity volumes at OCC-pricing.

FY18 budget - Disposal costs (Hauling)

The tables below present the Company's historical and forecast disposal costs for the hauling division, split between internal and third party sites. FY18 budgeted costs per ton for both third party and internal sites have remained consistent with FY17.

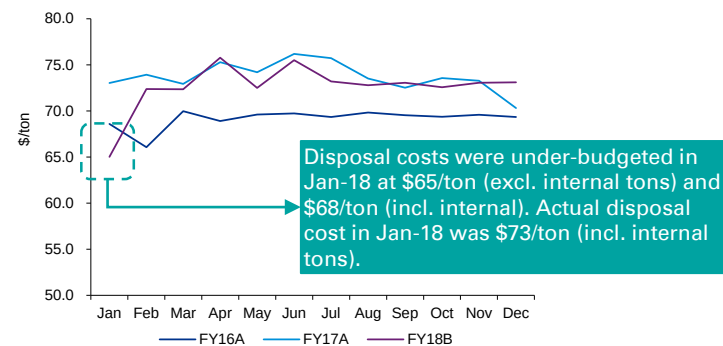
Hauling - Disposal costs to 3rd party sites													
\$'000	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
Total Tonnage													
FY16A	28,782	28,915	34,213	35,879	35,543	39,917	36,179	36,195	35,145	31,887	31,038	31,281	404,974
FY17A	29,447	25,215	31,511	30,532	36,024	34,864	33,791	33,929	31,799	34,145	33,636	35,654	390,547
FY18B	29,042	27,349	35,504	33,831	39,481	38,269	37,948	37,188	34,240	36,458	36,100	36,565	421,975
T&D Cost (\$'000)													
FY16A	(1,974)	(1,910)	(2,394)	(2,473)	(2,474)	(2,783)	(2,509)	(2,528)	(2,444)	(2,212)	(2,160)	(2,169)	(28,031)
FY17A	(2,151)	(1,864)	(2,299)	(2,299)	(2,673)	(2,656)	(2,559)	(2,494)	(2,306)	(2,512)	(2,465)	(2,508)	(28,786)
FY18B	(1,889)	(1,980)	(2,569)	(2,563)	(2,863)	(2,890)	(2,778)	(2,707)	(2,502)	(2,646)	(2,638)	(2,673)	(30,698)
T&D cost per ton (\$/Ton)													
FY16A	68.6	66.1	70.0	68.9	69.6	69.7	69.3	69.8	69.5	69.4	69.6	69.3	69.2
FY17A	73.0	73.9	72.9	75.3	74.2	76.2	75.7	73.5	72.5	73.6	73.3	70.3	73.7
FY18B	65.0	72.4	72.4	75.8	72.5	75.5	73.2	72.8	73.1	72.6	73.1	73.1	72.7

Source : Management provided information, KPMG analysis

Hauling - Internal disposal costs (i.e. interco disposal costs with Transfer stations)													
\$'000	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
Total Tonnage													
FY16A	46,951	48,147	54,122	51,288	53,517	55,539	54,747	60,658	58,164	59,183	58,344	57,256	657,916
FY17A	55,649	49,486	56,550	55,160	60,097	59,787	57,570	59,654	55,485	57,579	53,437	48,687	669,141
FY18B	58,507	51,996	58,904	58,123	62,628	62,163	61,970	63,981	57,454	62,464	56,911	56,053	711,154
T&D Cost (\$'000)													
FY16A	(3,235)	(3,322)	(3,726)	(3,525)	(3,680)	(3,813)	(3,762)	(4,191)	(4,014)	(4,086)	(4,026)	(3,953)	(45,334)
FY17A	(3,874)	(3,449)	(3,938)	(3,840)	(4,184)	(4,156)	(4,008)	(4,150)	(3,858)	(4,007)	(3,716)	(3,389)	(46,569)
FY18B	(4,075)	(3,622)	(4,104)	(4,048)	(4,362)	(4,323)	(4,310)	(4,451)	(3,995)	(4,342)	(3,956)	(3,897)	(49,485)
T&D cost per ton (\$/Ton)													
FY16A	68.9	69.0	68.9	68.7	68.8	68.7	68.7	69.1	69.0	69.0	69.0	69.0	68.9
FY17A	69.6	69.7	69.6	69.6	69.6	69.5	69.6	69.6	69.5	69.6	69.5	69.6	69.6
FY18B	69.7	69.7	69.7	69.6	69.6	69.5	69.5	69.6	69.5	69.5	69.5	69.5	69.6

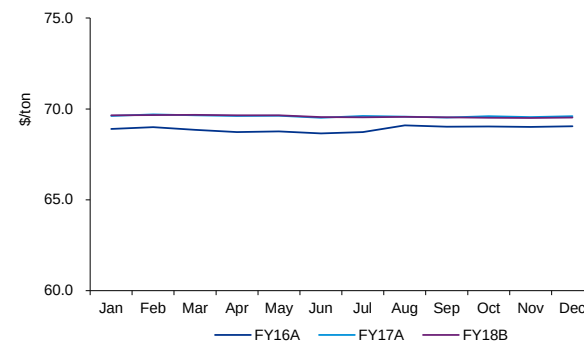
Source : Management provided information, KPMG analysis

T&D Cost/Ton- Hauling- Third party tons



Source : Management provided information, KPMG analysis

T&D Cost/Ton- Hauling- Internal tons



Source : Management provided information, KPMG analysis

FY18 budget - Transportation and disposal costs (TS)

Transfer Station - Disposal costs (excl. Totowa & Paterson)													
\$'000	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
Total Tonnage													
FY16A	111,077	112,653	127,512	123,536	128,595	135,639	130,598	135,876	126,564	127,866	125,963	127,622	1,513,501
FY17A	124,716	111,130	126,990	129,653	142,544	138,912	133,934	139,101	129,938	138,400	130,594	119,690	1,565,602
FY18B	126,718	112,121	127,395	128,122	139,488	137,470	139,260	142,531	130,261	140,563	129,449	125,641	1,579,019
T&D Cost (\$'000)													
FY16A	(4,185)	(4,130)	(4,715)	(4,613)	(4,881)	(5,040)	(4,745)	(5,002)	(4,728)	(4,826)	(4,665)	(4,864)	(56,392)
FY17A	(5,009)	(4,427)	(5,049)	(5,076)	(5,574)	(5,374)	(5,193)	(5,439)	(4,861)	(5,212)	(5,000)	(4,617)	(60,829)
FY18B	(5,043)	(4,490)	(5,106)	(5,060)	(5,536)	(5,470)	(5,552)	(5,675)	(5,216)	(5,540)	(5,142)	(5,048)	(62,879)
T&D cost per ton (\$/Ton)													
FY16A	37.7	36.7	37.0	37.3	38.0	37.2	36.3	36.8	37.4	37.7	37.0	38.1	37.3
FY17A	40.2	39.8	39.8	39.1	39.1	38.7	38.8	39.1	37.4	37.7	38.3	38.6	38.9
FY18B	39.8	40.0	40.1	39.5	39.7	39.8	39.9	39.8	40.0	39.4	39.7	40.2	39.8

Source : Management provided information, KPMG analysis

Transfer Station - Long haul transportation (excl. Totowa & Paterson)														
\$'000	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total	
Total Tonnage														
FY16A	111,077	112,653	127,512	123,536	128,595	135,639	130,598	135,876	126,564	127,866	125,963	127,622	1,513,501	
FY17A	124,716	111,130	126,990	129,653	142,544	138,912	133,934	139,101	129,938	138,400	130,594	119,690	1,565,602	
FY18B	126,718	112,121	127,395	128,122	139,488	137,470	139,260	142,531	130,261	140,563	129,449	125,641	1,579,019	
T&D Cost (\$'000)														
FY16A	(1,764)	(1,813)	(2,056)	(1,919)	(1,925)	(2,133)	(1,969)	(2,154)	(1,987)	(1,933)	(1,991)	(1,808)	(23,451)	
FY17A	(1,703)	(1,519)	(1,777)	(1,828)	(2,118)	(2,042)	(1,956)	(1,997)	(2,064)	(2,158)	(1,966)	(1,809)	(22,937)	
FY18B	(1,938)	(1,697)	(1,903)	(1,989)	(2,160)	(2,120)	(2,126)	(2,182)	(1,986)	(2,172)	(1,992)	(1,936)	(24,203)	
T&D cost per ton (\$/Ton)														
FY16A	15.9	16.1	16.1	15.5	15.0	15.7	15.1	15.9	15.7	15.1	15.8	14.2	15.5	
FY17A	13.7	13.7	14.0	14.1	14.9	14.7	14.6	14.4	15.9	15.6	15.1	15.1	14.7	
FY18B	15.3	15.1	14.9	15.5	15.5	15.4	15.3	15.3	15.2	15.5	15.4	15.4	15.3	

Source : Management provided information, KPMG analysis

Overview

The adjacent tables present the historical and budgeted disposal and transportation costs for the Company's Transfer Stations.

- **Disposal costs:** FY18 budgeted costs are \$39.8/ton, an increase of \$0.9/ton from FY17. The largest contributor is Bronx TS, where landfill costs increased \$0.75/ton in FY18 per the Company's contract with Waste Management. Bronx TS accounts for approximately 28% of the Company's outbound transfer station tons.
- **Long haul transportation:** FY18 budget increased by \$0.6/ton to \$15.3/ton, primarily driven by long haul diesel price increases of \$0.75/ton. As of YTD Feb-18, the Company is over budget by \$165,000 in fuel costs based on its own consumption.

In response to increasing transportation and disposal costs, the Company plans to increase gate rates to third party haulers by \$3-5/ton effective June 1, 2018, and has mailed letters to its customers regarding the price increase.

The above analysis excludes the volume and expenses for the Totowa and Paterson transfer stations, as the Company manages them on behalf of Covanta and does not bear disposal costs. The Biosolids division is also excluded to ensure a consistent composition amongst the components of disposal and transportation costs.

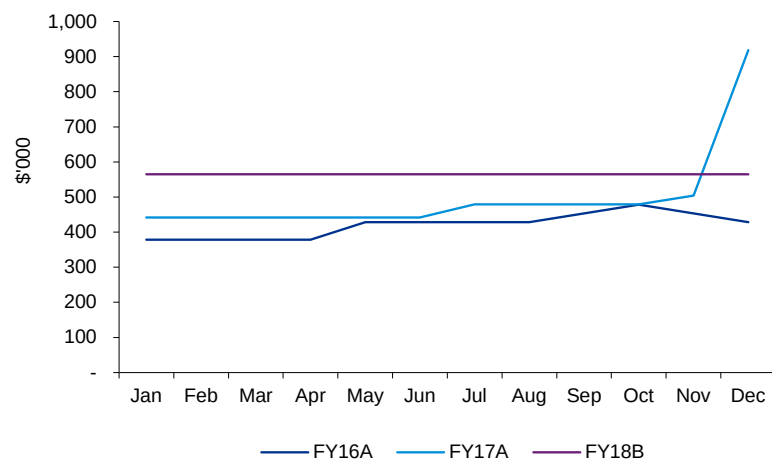
FY18 budget - Insurance

The Company's budgeted vehicle insurance increases in FY18 as a result of additional trucks acquired as part of the Mid Bronx acquisition. Liability insurance remained consistent with FY17 levels. The increases in expenses in Dec-17 for both vehicle and liability insurance represent year-end true-ups to the Company's static monthly accrual.

Vehicle insurance														
\$'000	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total	
FY16A	379	379	379	379	429	429	429	429	454	479	454	429	5,043	
FY17A	441	441	441	441	441	441	479	479	479	479	504	919	5,986	
FY18B	565	565	565	565	565	565	565	565	565	565	565	565	6,779	

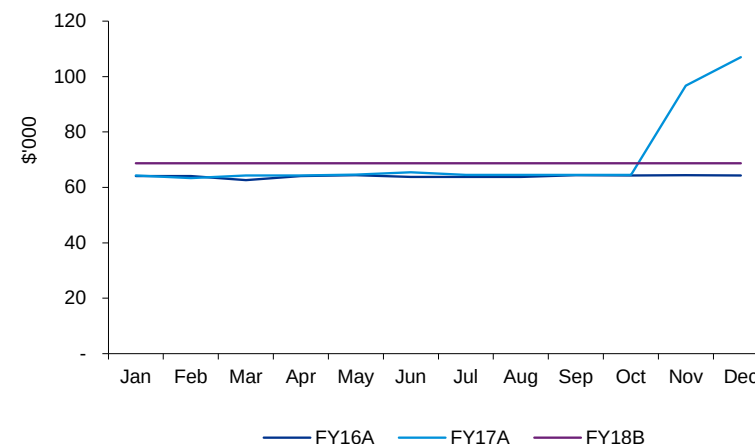
Liability insurance														
\$'000	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total	
FY16A	64	64	63	64	64	64	64	64	64	64	64	64	768	
FY17A	64	63	64	64	65	65	65	65	65	65	97	107	848	
FY18B	69	69	69	69	69	69	69	69	69	69	69	69	824	

Vehicle insurance



Source : Management provided information, KPMG analysis

Liability insurance



Source : Management provided information, KPMG analysis



Balance sheet and net working capital

Balance sheet

Stratified balance sheet

DRAFT

The reported balance sheet has been stratified into Net working capital (NWC), Infrastructure, Net debt and Other categories. For Net working capital and Net debt, refer to the following pages for additional analysis.

Stratified balance sheet							
\$'000	As at			As at 28-Feb-18			
	31-Dec-16	31-Dec-17	28-Feb-18	NWC	structure	Net debt	Other
Assets							
Checking/savings	(970)	365	(1,622)	-	-	(1,622)	-
Accounts receivable	28,283	30,462	30,667	30,667	-	-	-
Prepaid expenses	3,459	4,261	4,615	4,615	-	-	-
Misc receivable	309	307	596	596	-	-	-
Inventory	1,420	1,734	1,724	1,724	-	-	-
Employee advances	-	-	30	30	-	-	-
Other current assets	5,189	6,302	6,965	6,965	-	-	-
Current assets	32,502	37,130	36,010	37,632	-	(1,622)	-
PP&E	159,666	177,370	182,508	-	182,508	-	-
Accum. depr	(58,361)	(69,655)	(71,711)	-	(71,711)	-	-
Net Fixed Assets	101,305	107,715	110,797	-	110,797	-	-
Note receivable - shareholder	1,400	1,933	1,933	-	-	1,933	-
Deposits	6,345	8,299	8,339	-	-	8,339	-
Loan aquis. costs	2,607	3,958	3,958	-	-	3,958	-
Accum amort-In acq costs	(865)	(1,590)	(1,735)	-	-	(1,735)	-
Covenant not to compete	1,074	1,074	1,074	-	-	-	1,074
Customer list	36,935	37,080	48,069	-	-	-	48,069
Permits	150	150	150	-	-	-	150
Trademarks	3,370	3,370	3,370	-	-	-	3,370
Goodwill	8,794	8,794	8,794	-	-	-	8,794
Leasehold interest	1,870	1,870	1,870	-	-	-	1,870
Accum amort-intangible	(25,529)	(28,842)	(29,363)	-	-	-	(29,363)
Other Assets	36,151	36,096	46,459	-	-	12,496	33,963
Total Assets	169,958	180,940	193,266	37,632	110,797	10,874	33,963
Liabilities							
Payables	(28,906)	(26,753)	(27,376)	(27,376)	-	-	-
Current portion of LTD	(2,500)	(3,688)	(3,688)	-	-	(3,688)	-
Current Liabilities	(31,406)	(30,440)	(31,063)	(27,376)	-	(3,688)	-
Loan payable - commercial LOC	(3,887)	(19,081)	(32,093)	-	-	(32,093)	-
Loan payable - brightwood	(93,125)	(136,094)	(136,094)	-	-	(136,094)	-
Loan payable - advanced	(851)	(176)	(59)	-	-	(59)	-
Long term liability	(366)	(336)	(325)	-	-	(325)	-
Deferred tax liability	(1,410)	(1,410)	(1,410)	-	-	(1,410)	-
Long Term Debt	(99,638)	(157,097)	(169,980)	-	-	(169,980)	-
Total Liabilities	(131,045)	(187,537)	(201,043)	(27,376)	-	(173,668)	-
Net assets	38,913	(6,597)	(7,777)	10,256	110,797	(162,794)	33,963

Source: Information provided by Management; KPMG analysis

Stratified balance sheet

The adjacent table presents the Company's reported balance sheet, stratified into components as at February 28, 2018.

Net working capital components: Please see the following pages for additional adjustment considerations.

- **Accounts receivable:** Included \$31.8 million of trade receivable against \$1.1 million of allowance for doubtful accounts at Feb-18. Management reviews aged balances 120 days and greater on a monthly basis.
- **Prepaid expenses:** This account included prepaid insurance, licenses, worker's compensation premiums and disposal costs. Prepaid expenses increased from \$3.5 million in Dec-16 to \$4.6 million in Feb-18 mainly due to the timing of insurance prepayment, which is typically paid in the beginning of the calendar year.
- **Inventory:** Mainly relates to recyclable materials processed through the MRFs.
- **Misc. receivable:** As part of the Bronx tolling agreement (see QofE adjustment #17), IESI is required to make scheduled waste pick-ups from the Bronx TS. When IESI is behind, the Company withholds payment for T&D costs, debiting AR and crediting transportation and disposal expenses.
- **Payables:** Includes \$13.6 million of accounts payable and \$13.5 million of accrued expenses. Accrued expenses mainly consist of payroll, accident claims, rent, bonus expense and \$2.1 million related to the Paterson building sale, removed from NWC in adjustment #2 and #3.

Infrastructure: Primarily consist of the following:

- **Net fixed assets:** Land, building, containers, equipment and various collection vehicles.
 - **Permits:** Relates to operating permits for the various business segments.
- Other assets:** Includes customer lists, trademarks, non-compete and Goodwill considerations related to the historical acquisitions.

Net Working Capital (1) - Overview

For the trailing twelve months ended February 28, 2018, potentially adjusted average working capital is approximately \$12.3 million and pro forma adjusted average working capital is approximately \$12.8 million.

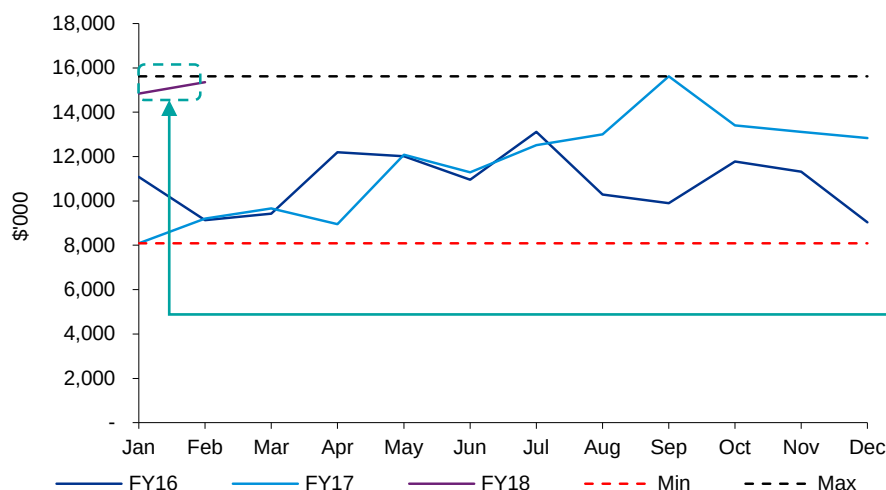
Net working capital						
\$'000	As at			Average		
	31-Dec-16	31-Dec-17	28-Feb-18	FY16	FY17	TTM Feb-18
Net working capital, reported	4,566	10,012	10,256	9,226	8,927	9,841
Total potential adjustments	4,566	1,879	4,362	652	2,439	2,433
Net working capital, adjusted	9,131	11,891	14,618	9,878	11,365	12,274
Adjusted WC, as a % of net sales	3.4%	4.1%	5.0%	3.6%	3.9%	4.2%
Total pro forma adjustments	644	984	778	1,052	433	483
Net working capital, adjusted	9,775	12,874	15,396	10,930	11,799	12,757
Adjusted WC, as a % of net sales	3.4%	4.2%	5.0%	3.8%	3.9%	4.2%

Source: Management provided information; KPMG analysis

The working capital normalization schedule summarizes potential adjustments and other factors to be considered for the fiscal year ended December 31, 2016, 2017 and the trailing twelve months ended February 28, 2018.

Such proposed adjustments are not deemed to be all inclusive. The validity of these potential adjustments and other factors raised for your consideration may require further investigation to understand the potential impact on your valuation model.

Adjusted net working capital seasonality



Source: Management provided information; KPMG analysis

Increase in FY18 primarily due to prepaid insurance (\$1.3 million increase); accounts receivable (\$0.5 million increase); and miscellaneous receivables (\$0.2 million increase).

Net Working Capital (2) - Potential Adjustments

Net working capital						
	As at			Average		
\$'000	31-Dec-16	31-Dec-17	28-Feb-18	FY16	FY17	TTM Feb-18
Current assets						
Accounts receivable	28,283	30,462	30,667	27,375	29,312	29,628
Misc receivable	309	307	596	229	388	438
Inventory	1,420	1,734	1,724	1,161	1,498	1,550
Employee advances	-	-	30	7	3	7
Prepaid expenses	3,459	4,261	4,615	3,783	4,846	5,002
Total current assets	33,472	36,764	37,632	32,556	36,048	36,625
Current liabilities						
Accounts payable	(17,178)	(17,289)	(13,611)	(14,367)	(15,431)	(15,125)
Accrued expenses	(11,202)	(9,263)	(13,544)	(8,447)	(11,177)	(11,199)
Sales tax payable	(526)	(201)	(221)	(515)	(513)	(460)
Total current liabilities	(28,906)	(26,753)	(27,376)	(23,329)	(27,121)	(26,784)
Net working capital, reported	4,566	10,012	10,256	9,226	8,927	9,841
<i>As % of TTM net sales</i>	<i>1.7%</i>	<i>3.4%</i>	<i>3.5%</i>	<i>3.4%</i>	<i>3.1%</i>	<i>3.4%</i>
Potential adjustments						
1a) Accrued interest	25	72	2,283	25	31	223
1b) Tax accrual	(2)	(2)	(2)	(86)	(2)	(2)
1c) Capex in accrued expenses	1,165	-	-	97	-	-
1d) Tax acquisition liability	86	86	86	86	86	86
1e) D&J escrow	13	-	-	1	-	-
1 Definitional adjustments	1,286	155	2,366	123	115	307
2 Paterson bonus	2,546	1,697	1,697	849	2,263	2,121
3 Paterson deferred gain	487	454	448	122	469	464
4 Management EBITDA adjustments	81	274	318	152	127	162
5 Captive prepaid insurance	(725)	(725)	(725)	(488)	(725)	(725)
6 Falletta bonus	100	24	24	21	73	60
7 Mid Bronx redundant headcount accrual	-	-	233	-	-	44
8 Bad debt	90	-	-	(186)	-	-
9 Extraordinary bonus	700	-	-	58	117	-
Total potential adjustments	4,566	1,879	4,362	652	2,439	2,433
Net working capital, potentially adjusted	9,131	11,891	14,618	9,878	11,365	12,274
<i>As % of TTM adjusted net sales</i>	<i>3.4%</i>	<i>4.1%</i>	<i>5.0%</i>	<i>3.6%</i>	<i>3.9%</i>	<i>4.2%</i>
Total pro forma adjustments	644	984	778	1,052	433	483
Net working capital, pro forma adjusted	9,775	12,874	15,396	10,930	11,799	12,757
<i>As % of pro forma TTM net sales</i>	<i>3.4%</i>	<i>4.2%</i>	<i>5.0%</i>	<i>3.8%</i>	<i>3.9%</i>	<i>4.2%</i>

Source: Management provided information; KPMG analysis

Potential adjustments

The following adjustments represent the potential adjustments identified during due diligence that may impact net working capital.

- Definitional adjustments:** Upon a review of GL accounts, a number of accounts within net working capital relate to non-net working capital items. This includes the accounts and balances listed below:
 - Accrued interest:** Interest associated with debt has been removed from net working capital on the basis that the amount is debt-like in nature. Note that the amount increased in Feb-18 as the Company settled interest payable on a quarterly basis instead of making monthly payments.
 - Tax accrual:** Relates to federal income taxes from the legacy corporate structure of the acquisitions. As these are considered non-trading in nature, the amounts have been removed from NWC.
 - Capex in accrued expenses:** Removes accrued capex of \$1.2 million for five trucks purchased in Dec-16. Note that there is negligible capex in trades payable as the Company needs to pay for capex in full prior to taking possession.
 - Tax acquisition liability:** Relates to an open taxation liability from an acquisition in 2006. This amount has been removed from NWC on the basis that its debt-like in nature.
 - D&J escrow:** Non-operating balance resulting from the FY15 acquisition of D&J Marangi. Management represents that the amount was settled prior to Dec-17.
- Paterson bonus:** Relates to the shareholder bonus payable in connection with the Paterson sale in Oct-16. This liability has been excluded from NWC given its non-operating nature. Refer to QofE adjustment #7 for further details on the transaction.
- Paterson deferred gain:** Consistent with NWC adjustment #2, Management recognized a deferred gain on the sale of the property, to be straight-line amortized over the life of the lease for tax efficiency purposes. This non-cash amount has been excluded from NWC and net debt.

Net Working Capital (3) - Potential Adjustments

Potential adjustments

4. **NWC impact of Management EBITDA adjustments:** The indicative NWC impact of reporting adjustments to EBITDA have been estimated using reported days' metrics (i.e. DSO and DPO). Refer to Appendix 8 for breakdown of the adjustments captured in the calculation and the NWC bucket. The table below summarizes the impact for .

NWC impact of accrued expenses						
\$'000	As at			Average		
	TTM			TTM		
	FY16	FY17	Feb-18	FY16	FY17	Feb-18
1 Investor related fees and expenses	31	29	-	37	42	40
2 Acquisition related expense	-	237	19	12	32	36
3 Other expenses	-	20	-	-	10	10
4 Other legal / consulting	-	51	-	-	4	4
6 Regulatory compliance audit	15	-	-	55	0	0
10 Non-recurring environmental cost	27	-	-	9	10	9
Expenses to adjust	73	337	19	112	99	99
DPO, reported ¹	50	50	53	43	48	47
NWC impact of accrued expenses	81	274	318	152	127	162

Note (1): DPO was used as a proxy to calculate the NWC impact of the accrued expenses as the DPO is calculated using AP trade and accrued expenses.

Source: Management provided information; KPMG analysis

5. **Captive prepaid insurance:** The Company has an overfunded status in its captive insurance plan, and is entitled to receive part of the deposited balance on the third and fourth plan year, with the remaining refunded in the fifth year. The Company recognized receivables of \$425,000 and \$300,000 in FY15 and FY16 respectively, resulting from contributions in excess of claims. As this receivable is non-operating in nature, the amount has been removed from NWC.

Potential adjustments

6. **Falletta bonus:** The amount pertains to an accrual for bonuses payable on the anniversary date of the Falletta acquisition, provided the acquired assets meet revenue targets. Management expects these targets to be met. This balance has been removed from NWC as it is debt-like in nature.
7. **Mid Bronx redundant headcount accrual:** When the Company acquired Mix Bronx in Jan-18, a few legacy Mix Bronx employees were to stay on for a transition period of six months. Management does not intend to retain these employees post-close. For accounting purposes, the payroll expense related to the employees has been capitalized as part of the purchase price. The corresponding payroll liability is removed from NWC as the amount is non-recurring. The table below outlines the approximate amount added back for each employee.

Mid Bronx redundant headcount							
\$'000	Annual salary ¹	FY17 payroll tax rate	FY17 workers comp rate	FY17 benefits rate	Total benefits and taxes	Total payroll cost	5 month accrual
Mid Bronx Owner 1	132	7.1%	3.5%	17.3%	27.9%	169	71
Mid Bronx Owner 2	130	7.1%	3.5%	17.3%	27.9%	166	69
Office Manager	101	7.1%	3.5%	17.3%	27.9%	130	54
Executive	83	7.1%	3.5%	17.3%	27.9%	106	44
Headcount cost	447					572	238
Reconciling difference						-	(5)
EBITDA adjustment						572	233

Note (1): Per "Non Union Employee List 013118.xls".

Source: Management provided information; KPMG analysis

8. **Bad debt:** Represents the reversal of AR and AFDA resulting from Imperial Sanitation bad debt expense, discussed in QofE adjustment #12.
9. **Extraordinary bonus accrual:** This adjustment removes the accrued bonus payable in the amount of \$700,000 from Dec-16 until its payout in Feb-17 from QofE adjustment #8.

Net Working Capital (4) - Pro Forma Adjustments

Net working capital						
\$'000	As at			Average		
	31-Dec-16	31-Dec-17	28-Feb-18	FY16	FY17	TTM Feb-18
Current assets						
Accounts Receivable	28,283	30,462	30,667	27,375	29,312	29,628
Misc Receivable	309	307	596	229	388	438
Inventory	1,420	1,734	1,724	1,161	1,498	1,550
Employee advances	-	-	30	7	3	7
Prepaid expenses	3,459	4,261	4,615	3,783	4,846	5,002
Total current assets	33,472	36,764	37,632	32,556	36,048	36,625
Current liabilities						
Accounts Payable	(17,178)	(17,289)	(13,611)	(14,367)	(15,431)	(15,125)
Accrued Expenses	(11,202)	(9,263)	(13,544)	(8,447)	(11,177)	(11,199)
Sales Tax Payable	(526)	(201)	(221)	(515)	(513)	(460)
Total current liabilities	(28,906)	(26,753)	(27,376)	(23,329)	(27,121)	(26,784)
Net working capital, reported	4,566	10,012	10,256	9,226	8,927	9,841
As % of TTM net sales	1.7%	3.4%	3.5%	3.4%	3.1%	3.4%
Total potential adjustments	4,566	1,879	4,362	652	2,439	2,433
Net working capital, potentially adjusted	9,131	11,891	14,618	9,878	11,365	12,274
As % of TTM adjusted net sales	3.4%	4.1%	5.0%	3.6%	3.9%	4.2%
Pro forma adjustments						
10a) Accounts receivable	1,415	1,975	1,627	1,841	1,102	1,183
10b) Accounts payable	(771)	(992)	(848)	(902)	(669)	(700)
10 NWC impact of pro forma QofE adj.	644	984	778	938	433	483
11a) Accounts receivable	-	-	-	292	-	-
11b) Accounts payable	-	-	-	(161)	-	-
11 Run-rate biosolids contract	-	-	-	130	-	-
12 Sale and leaseback rent	-	-	-	(17)	-	-
Total pro forma adjustments	644	984	778	1,052	433	483
Net working capital, pro forma adjusted	9,775	12,874	15,396	10,930	11,799	12,757
As % of pro forma TTM net sales	3.4%	4.2%	5.0%	3.8%	3.9%	4.2%

Source: Management provided information; KPMG analysis

Pro forma adjustments

The following adjustments represent the pro forma adjustments identified during due diligence that may impact net working capital.

- 10. NWC impact of pro forma QofE adj.:** Using days metrics calculated with reported balances, we have calculated an indicative impact of pro forma EBITDA adjustments. Refer to Appendix 8 for the detailed balance sheet allocation for each adjustment. The table below summarizes the adjustments captured in the calculation.

Accounts receivable adjustments						
\$'000	As at			Average		
	31-Dec-16	31-Dec-17	28-Feb-18	FY16	FY17	TTM Feb-18
13 Acquisitions	599	599	-	886	599	499
15 Run-rate JC MRF (Casanova relocation)	306	306	306	306	306	306
16 Single Stream run-rate impact	281	-	-	281	234	187
17 Bronx tolling agreement	38	-	-	47	6	5
18 Lost municipal contract	(157)	-	-	(157)	(53)	(26)
19 Constant commodity	n.q.	620	868	n.q.	(197)	(7)
Revenue for AR adjustments	1,068	1,525	1,174	1,363	895	965
DSO, per Management report	39	41	41	40	39	39
AR adjustment	1,415	1,975	1,627	1,841	1,102	1,183

Source: Management provided information; KPMG analysis

- a) **Accounts receivable:** Using reported days sales outstanding metrics, this adjustment removes the AR associated with the revenue portion of pro forma QofE adjustments.

Accounts payable and accrued liabilities adjustments						
\$'000	As at			Average		
	31-Dec-16	31-Dec-17	28-Feb-18	FY16	FY17	TTM Feb-18
13 Acquisitions	(458)	(458)	16	(687)	(458)	(379)
15 Run-rate JC MRF (Casanova relocation)	(260)	(260)	(260)	(260)	(260)	(260)
18 Lost municipal contract	148	-	-	130	44	22
19 Constant commodity	n.q.	(178)	(209)	n.q.	59	10
COGS and SG&A for adjustment	(571)	(896)	(453)	(817)	(615)	(607)
Payroll within SG&A	86	193	9	188	172	156
COGS and SG&A for adjustment	(484)	(703)	(444)	(629)	(444)	(452)
DPO, per Management report	50	50	53	43	48	47
AP and accrued liabilities adjustment	(771)	(992)	(848)	(902)	(669)	(700)

(1) NWC impact of payroll expenses in pro-forma adjustments have not been calculated as the Company's pay cycle varies and the amount payable at month-end is historically non-material.

Source: Management provided information; KPMG analysis

- b) **Accounts payable and accrued liabilities:** Using days payable outstanding metrics, this adjustment removes the COGS and SG&A portion of pro forma QofE adjustments.

Net Working Capital (5) – *Pro Forma* Adjustments

Pro forma adjustments

11. **Run-rate biosolids contract:** Represents the working capital impact of the spread increase of the biosolids contract renewed in Aug-16 in QofE adjustment #20. The adjustment was calculated using reported DPO and DSO from Management reports.
12. **Sale and leaseback rent:** This adjustment illustrates the monthly rent accrual resulting from sale and leaseback of the Paterson building over the historical period discussed in QofE adjustment #21.

Balance sheet

Net debt (1)

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The table below summarizes the Company's cash, debt, and debt-like items as at December 31, 2016, 2017 and February 28, 2018.

Net debt			
\$'000	31-Dec-17	28-Feb-18	On BS?
Checking/savings	365	(1,622)	Yes
Loan payable - commercial LOC	(19,081)	(32,093)	Yes
Loan payable - brightwood	(136,094)	(136,094)	Yes
Loan payable - advanced	(176)	(59)	Yes
Long term liability	(336)	(325)	Yes
Deferred tax liability	(1,410)	(1,410)	Yes
Long-term debt	(157,097)	(169,980)	Yes
Current portion of ltd	(3,688)	(3,688)	Yes
Note receivable - shareholder	1,933	1,933	Yes
Deposits	8,299	8,339	Yes
Loan aquis. costs	3,958	3,958	Yes
Accum amort-In acq costs	(1,590)	(1,735)	Yes
Other assets	12,601	12,496	Yes
Net debt, reported	(147,818)	(162,794)	
Potential adjustments			
1 NWC definitional adjustments	(155)	(2,366)	Yes
2 Paterson bonus	(1,697)	(1,697)	Yes
3 Falletta bonus	(24)	(24)	Yes
4 Mix Bronx redundant payroll accrual	-	(233)	Yes
5 Debt issuance cost	(2,368)	(2,223)	Yes
6 Accruing dividends - pref shares	n.q.	n.q.	No
Potential adjustments	(4,244)	(6,544)	
Net debt, potentially adjusted	(152,062)	(169,337)	

Source: Management provided information; KPMG analysis

The net debt normalization schedule summarizes potential adjustments and other factors to be considered for the fiscal year ended December 31, 2016, 2017 and the trailing twelve months ended February 28, 2018.

Such proposed adjustments are not deemed to be all inclusive. The validity of these potential adjustments and other factors raised for your consideration may require further investigation to understand the potential impact on your valuation model.

Net debt

In addition to cash, key components of reported net debt at February 28, 2018 include:

- **Loan payable (long-term and short-term):** Reflects the reported balance sheet debt which includes, a line of credit and a term loan with a private equity owner.
- **Long term liability:** Relates to environmental reserves set up when the Company acquired IWS.
- **Deferred tax liability:** Relates to timing difference between taxable income and accounting income. Due diligence was not performed on the tax balances as these were excluded from the scope of work.
- **Note receivable – shareholder:** Includes \$933,000 receivable from a shareholder resulting from the Paterson building sale. The remaining balance relates to a loan made to the same shareholder for another investment.
- **Deposits:** Mainly relates to security deposit for certain leased facilities.
- **Loan acquisition costs and accumulated amortization:** Long-term debt is presented net of unamortized debt issuance cost. As there is no future benefit associated with the debt issuance costs, this amount has been removed from net debt to present the gross liability balance.

Debt-like considerations

1. **NWC definitional adjustments:** As described in NWC adjustment #1, the following represents the debt-like items recorded within net working capital accounts.

Definitional items		As at		
\$'000		31-Dec-16	31-Dec-17	28-Feb-18
1a)	Accrued interest	25	72	2,283
1b)	Tax accrual	(2)	(2)	(2)
1c)	Capex in accrued expenses	1,165	-	-
1d)	Tax acquisition liability	86	86	86
1e)	D&J escrow	13	-	-
NWC definitional add-backs		1,286	155	2,366

Source: Management provided information; KPMG analysis

2. **Paterson bonus:** Consistent with NWC adjustment #2, this amount relates to the balance payable for the sale and leaseback transaction for the building and land in Paterson. This capital transaction generated a shareholder payable, which is debt-like in nature.
3. **Falletta bonus:** In Nov-15, the Company acquired certain assets of Falletta Carting Corporation. A portion of the purchase consideration is to be paid if certain revenue commitments are met. Consistent with NWC adjustment #6, Management expects the revenue target to be met and the balance to be paid in full.
4. **Mid Bronx redundant payroll accrual:** As described in NWC adjustment #7, represents the payroll for legacy Mid Bronx employees who agreed to stay on for a transition period of six months. To the extent the run-rate EBITDA for Mix Bronx exclusive of their salary is contemplated as part of the EBITDA valuation, the outstanding payroll associated with these employees should be considered net debt.
5. **Debt issuance cost:** Removes the unamortized debt issuance cost from net debt to present the gross liability.

Debt-like considerations

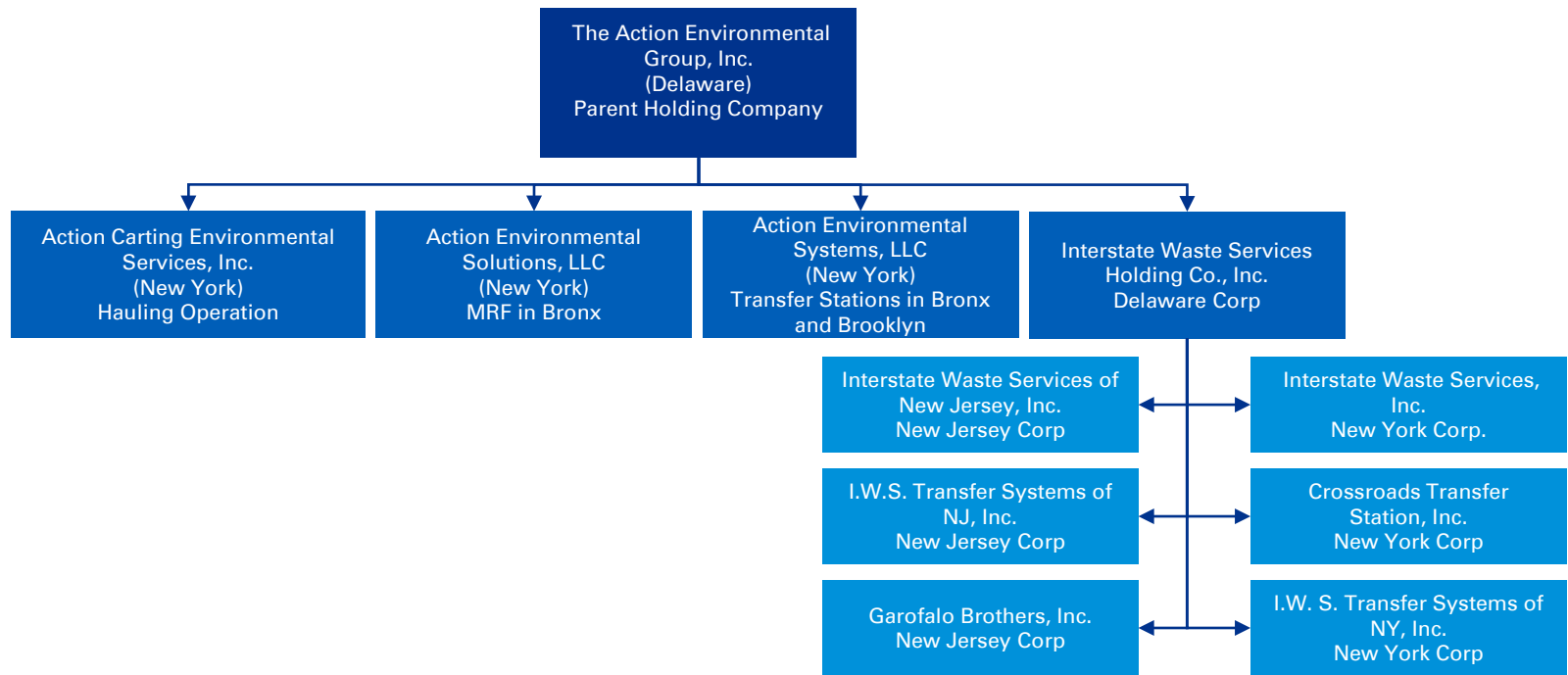
6. **Accruing dividends – pref shares:** Dividends on preferred stock is accrued from day to day, whether or not declared. The accruing dividends may be paid in cash out of any funds available for that purpose and shall be paid in cash upon a liquidation event. As such, the amount owing should be considered debt-like. Management represents that the dividends are not recorded on the balance sheet as they are only triggered on change of control.



Appendices

1. Organizational structure
2. Reconciliation – Audited to internal FS
3. Run-rate impact of acquisitions
4. Restructuring
5. JC MRF pro forma
6. Single stream run-rate impact
7. Commodities
8. NWC impact of Management EBITDA adjustments
9. Revenue for top 10 customers
10. Fleet aging analysis
11. Truck capex analysis
12. Overview by location
13. SG&A – Bridge from reported to pro forma adjusted
14. Adjusted income statement

Organizational Structure



Source: Action Legal Organization Chart

Reconciliation (1) - Audited to internal IS

The tables below present reconciliation between the income statement derived from the trial balances and audited financial statements for the year ended December 31, 2016 and 2017.

Recon IS- Audit vs Mgt Reported						
\$'000	FY16			FY17		
	Audited	Variance	Internal	Audited	Variance	Internal
Net revenue	271,110	(0)	271,110	292,600	0	292,600
Cost of revenue	(216,592)	(876)	(215,716)	(232,678)	(922)	(231,756)
Gross profit	54,518	(876)	55,394	59,922	(922)	60,844
Selling, general and administrative	(29,100)	(922)	(28,177)	(29,701)	358	(30,059)
Loss on disposals of equipment	(162)	(162)	-	(25)	(25)	-
Special compensation expense	(2,546)	(2,546)	-	(51)	(51)	-
Other Expense(s)/(Income)	-	4,506	(4,506)	-	778	(778)
Depreciation	(11,051)	-	(11,051)	(11,727)	0	(11,727)
Amortization	(3,418)	-	(3,418)	(3,054)	(25)	(3,029)
Operating expenses	(46,276)	876	(47,152)	(44,558)	1,036	(45,593)
Income from operations	8,242	(0)	8,242	15,364	113	15,250
Interest expense	(8,840)	0	(8,840)	(11,665)	(0)	(11,665)
Other, net	(38)	0	(38)	(357)	(137)	(220)
Other expense (income)	(8,878)	0	(8,878)	(12,022)	(137)	(11,885)
Income/(loss) before income taxes	(637)	(0)	(636)	3,342	(24)	3,365
Income tax expense	(211)	0	(211)	180	319	(138)
Net loss	(847)	(0)	(847)	3,522	295	3,227

Source : Management provided information

FY17 variance at the Income/(loss) before tax level is due to amortization – no impact to EBITDA

Reconciliation (2) - Audited to internal BS

The tables below present reconciliation between the balance sheet derived from the trial balances and audited financial statements for the year ended December 31, 2016 and 2017.

Recon BS- Audit vs Mgt Reported						
\$'000	31-Dec-16			31-Dec-17		
	Audited	Variance	Internal	Audited	Variance	Internal
Assets						
Cash	113	1,083	(970)	365	(0)	365
Accounts receivable, net	28,406	123	28,283	30,883	421	30,462
Prepaid expenses and other current assets	5,066	(123)	5,189	6,008	(295)	6,302
Note receivable - stockholder	467	(933)	1,400	1,467	(467)	1,933
Current assets	34,052	150	33,902	38,723	(340)	39,063
Property and equipment, net	101,305	(0)	101,305	107,715	0	107,715
Intangible assets, net of accumulated amortization	15,424	(576)	16,000	12,516	(1,112)	13,628
Goodwill	8,794	(0)	8,794	8,794	(0)	8,794
Acquired favorable in-place leases, net	2,445	575	1,870	2,396	28	2,368
Security deposits and other assets	6,345	0	6,345	8,299	0	8,299
Note receivable - stockholder, net of current portion	933	933	-	467	467	-
Total assets	169,298	1,083	168,215	178,909	(2,031)	180,940
Liabilities and Stockholders' Equity						
Current portion of long-term debt	(3,175)	(675)	(2,500)	(3,864)	(176)	(3,688)
Deferred gain on sale-leaseback	(33)	(33)	-	(33)	(33)	-
Accounts payable and accrued expenses	(28,171)	735	(28,906)	(26,258)	495	(26,753)
Total current liabilities	(31,379)	27	(31,406)	(30,155)	285	(30,440)
Notes payable - line of credit	(3,887)	0	(3,887)	(19,081)	(0)	(19,081)
Long-term debt, net of current portion	(91,558)	(176)	(91,382)	(133,725)	2,369	(136,094)
Loan Payable - Advanced	-	851	(851)	-	176	(176)
Long Term Liability	-	366	(366)	-	336	(336)
Deferred gain on sale-leaseback, net of current portion	(454)	(454)	-	(421)	(421)	-
Deferred income taxes	(1,410)	-	(1,410)	(1,033)	376	(1,410)
Deferred compensation	(1,697)	(1,697)	-	(795)	(795)	-
Total liabilities	(130,385)	(1,083)	(129,302)	(185,211)	2,326	(187,537)
Total stockholders' equity	(38,913)	0	(38,913)	6,302	(295)	6,597
Total Liabilities and Stockholders' Equity	(169,298)	(1,083)	(168,215)	(178,909)	2,031	(180,940)

Source : Management provided information

Run-rate impact of acquisitions (1) – Mid Bronx

The tables below present additional analysis supporting the pro forma acquisitions add-back for Mid Bronx. Jan-17 to Feb-18 has been presented on a monthly basis to illustrate the timing of adjustments around the month of acquisition.

Pro forma acquisitions impact																		
\$'000	Acquisition	Jan-17	Feb-17	Mar-17	Apr-17	May-17	Jun-17	Jul-17	Aug-17	Sep-17	Oct-17	Nov-17	Dec-17	Jan-18	Feb-18	FY16	FY17	TTM Feb-18
	date																	
Revenue																		
Mid Bronx	5-Jan-18	599	599	599	599	599	599	599	599	599	599	599	599	-	-	7,190	7,190	5,992
FY18 acquisitions		599	599	599	599	599	599	599	599	599	599	599	599	-	-	7,190	7,190	5,992
FY16 acquisitions		-	-	-	-	-	-	-	-	-	-	-	-	-	-	3,439	-	-
Acquisitions - run-rate revenue		599	599	599	599	599	599	599	599	599	599	599	599	-	-	10,629	7,190	5,992
Gross profit																		
Mid Bronx (Budget)	5-Jan-18	125	125	125	125	125	125	125	125	125	125	125	125	-	-	1,503	1,503	1,253
Mid Bronx - Route synergies	5-Jan-18	16	16	16	16	16	16	16	16	16	16	16	16	16	16	188	188	188
FY18 acquisitions		141	141	141	141	141	141	141	141	141	141	141	141	16	16	1,691	1,691	1,440
FY16 acquisitions		-	-	-	-	-	-	-	-	-	-	-	-	-	-	697	-	-
Acquisitions - run-rate EBITDA		141	141	141	141	141	141	141	141	141	141	141	141	16	16	2,388	1,691	1,440

Source : Management provided information, KPMG analysis

Mid Bronx acquisition – pro forma

Mid Bronx Haulage was acquired on January 5, 2018. The Company's FY18 budget reflects EBITDA before route synergies of \$1.5 million. In April 2018, the Company eliminated three routes, which Management expects to contribute \$0.2 million in incremental EBITDA.

The Company used the Project BX diligence report prepared by Cohn & Reznick LLP as guidance to determine the FY18 budget for Mid Bronx. A summary is presented in the table opposite.

With respect to quality of earnings, pre-synergies EBITDA is fully reflected in FY16 and FY17, and for ten of 12 months in TTM Feb-18. Route synergies are included in all historical periods.

Mid Bronx			
\$'000			TTM
	FY15	FY16	Mar-17
Reported sales	7,032	7,061	7,190
Reported EBITDA	144	135	162
Mid Bronx adjustments	1,273	1,619	1,543
Mid Bronx adjusted EBITDA	1,417	1,754	1,705
Total diligence adjustments	(6)	(418)	(332)
Adjusted EBITDA	1,411	1,336	1,373
Total pro forma adjustments	318	312	318
Pro-forma adjusted EBITDA	1,729	1,648	1,691

Source: Project BX Final Report - Updated 10.14.pdf

\$1.5 million budgeted pre-synergies
\$0.2 million in estimated route synergies
from Apr-18 onwards.

Run-rate impact of acquisitions (2) - Morena and Pequannock

The tables below present additional analysis supporting the pro forma acquisitions add-back for Morena and Pequannock. Jan-16 to Dec-16 has been presented on a monthly basis to illustrate the timing of adjustments around the month of acquisition.

Pro forma acquisitions impact																
\$'000	Acquisition															TTM
	date	Jan-16	Feb-16	Mar-16	Apr-16	May-16	Jun-16	Jul-16	Aug-16	Sep-16	Oct-16	Nov-16	Dec-16	FY16	FY17	Feb-18
Revenue																
FY18 acquisitions		599	599	599	599	599	599	599	599	599	599	599	599	7,190	7,190	5,992
Morena	15-Aug-16	74	74	74	74	74	74	74	36	-	-	-	-	556	-	-
Pequannock	24-Jun-16	497	497	497	497	497	398	-	-	-	-	-	-	2,883	-	-
FY16 acquisitions		571	571	571	571	571	472	74	36	-	-	-	-	3,439	-	-
Acquisitions - run-rate revenue		1,171	1,171	1,171	1,171	1,171	1,071	673	635	599	599	599	599	10,629	7,190	5,992
Gross profit																
FY18 acquisitions		141	141	141	141	141	141	141	141	141	141	141	141	1,691	1,691	1,440
Morena	15-Aug-16	15	15	15	15	15	15	15	7	-	-	-	-	115	-	-
Pequannock	24-Jun-16	100	100	100	100	100	80	-	-	-	-	-	-	582	-	-
FY16 acquisitions		116	116	116	116	116	96	15	7	-	-	-	-	697	-	-
Acquisitions - run-rate EBITDA		257	257	257	257	257	237	156	148	141	141	141	141	2,388	1,691	1,440

Source : Management provided information, KPMG analysis

Morena and Pequannock

The Company acquired Pequannock and Morena on June 24, 2016 and August 15, 2016, respectively. Pro forma revenue was estimated using the average revenue post-acquisition; pro forma gross profit was estimated applying the NJ Hauling division's reported gross margin % onto pro forma revenue. We have compared the estimated revenue and gross profit to Management's model as a validation check, and used the more conservative figures. Refer to the adjacent table for further details.

With respect to quality of earnings, we have pro-rated the adjustments in Jun-16 and Aug-16 as the acquisitions were completed closer to the middle of each month.

Acquisition Pro forma EBITDA adjustment					
\$'000	Related entity	Mgmt model		Post Acquisition	
		Monthly revenue	Monthly GP	Avg. Monthly Revenue	Avg. Monthly GP
Morena	NJ Hauling	83	14	74	15
Pequannock	NJ Hauling	558	137	497	100
FY16 acquisitions		642	150	571	116

Source : Management provided information, KPMG analysis

Restructuring

The Company actioned a reduction in administrative headcount to eliminate redundant back office functions. The annualized base salary represents Management's adjustment. We have excluded certain add backs as they were forward-looking in nature and not reflected in historical costs.

Restructuring								Annual adjustment		
\$'000	Job title	Employee location	Department	Hire date	Annualized base salary	Excluded	Adjusted annualized savings	FY16	FY17	TTM Feb-18
Employee A	Operations controller	Chester	Admin - Finance	16-Feb-11	102	-	102	102	102	102
Employee B	Billing clerk	Chester	Admin - Finance	5-Jun-07	69	-	69	69	69	69
Employee C	Ap associate	Chester	Admin - Finance	5-Mar-07	58	-	58	58	58	58
Employee D	Outside sales rep.	Chester	Admin - Sales	27-Jul-15	80	-	80	80	80	80
Employee E	Customer service	Teaneck Corp-action	Admin - Finance	27-Apr-01	15	-	15	15	15	15
Employee F	Admin interns	Teaneck Corp-action	Admin - HR	6-Jun-17	3	-	3	-	2	2
Employee G	Admin interns	Teaneck Corp-action	Admin - HR	26-Oct-17	3	-	3	-	0	1
Employee H	Admin interns	Teaneck Corp-action	Admin - HR	7-Jan-18	3	-	3	-	-	0
Employee I	Admin interns	Chester	Admin - HR	15-Jun-17	3	-	3	-	2	2
Employee J	Hand collector	Bronx Corp-action	Admin - Finance	5-Jan-18	35	-	35	-	-	6
Employee K	Hand collector	Bronx Corp-action	Admin - Finance	5-Oct-12	35	-	35	35	35	35
Employee L	Sales associate	Teaneck NJ - IWS	Admin - Sales	1-Mar-17	55	-	55	-	46	55
Employee M	Outside sales rep.	Jersey City - IWS	Admin - Sales	26-Jun-01	103	-	103	103	103	103
Employee N	Operations staff	Jersey City NYC-action	OPS - Dispatch	15-Sep-15	104	-	104	104	104	104
Headcount cost					667	-	667	566	616	632
Benefits @ 28%					187	-	187	158	172	177
Headcount cost including benefits					854	-	854	725	788	810
Other adjustments								-	-	-
1 Operations manager					(224)	-	(224)	(224)	(224)	(224)
2 Staff adjustments					(19)	-	(19)	(19)	(19)	(19)
3 Freeze NYC sales hire					75	(75)	-	-	-	-
4 Freeze fleet manager					125	(125)	-	-	-	-
5 Freeze salary increase					93	(93)	-	-	-	-
6 Eliminate customer service weekends					11	-	11	11	11	11
7 Cut SG&A overtime					24	-	24	24	24	24
8 Cut ops admin overtime					75	-	75	75	75	75
9 Reduce bonus accrual					50	(50)	-	-	-	-
Restructuring cost					1,064	(343)	721	591	655	676

Source : Management provided information, KPMG analysis

Other adjustments

Adj. 1 – Operations manager: Reflects the fully-loaded cost of an operations manager hired in Apr-18 (includes benefits and taxes of 28%).

Adj. 2 – Staff adjustments: Relates to raises for three employees who absorbed the duties of severed finance employees located in Chester, NY.

Adj. 3, 4, 5, and 9: These add-backs have not been included in the pro forma quality of earnings adjustment as they relate to freezes and reductions with respect to the FY18 budget versus the historical period.

Adj. 6, 7, and 8: These relate to cost savings initiatives such as scaling back customer service representatives on Sundays and reducing overtime.

Adjustment reflects consideration for severed employees' date of hire.

Appendix 5

JC MRF pro forma

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The table below illustrates the estimated incremental revenue and EBITDA from the JC MRF after it begins operations in Jul-18.

JC MRF Run-rate								
	1		2		3		4	
	FY18		Bridge to 3rd party impact					JC MRF
	Budget	Unit cost	FY18 Budget	Bronx optical	Millennium	JC MRF 3rd party	JC MRF 3rd party	
\$'000	7 months	\$/ton	Monthly	Monthly	Monthly	Monthly	Annual	
Volume								
Commodity tons ('000)	23.9		3.4	(0.5)	(0.9)	2.0	23.7	
Waste tons ('000)	3.4		0.5	(0.2)	(0.2)	0.1	0.7	
Total tons ('000)	27.3		3.9	(0.7)	(1.2)	2.0	24.3	
Financial								
Total revenue	3,699	155	528	(76)	(146)	306	3,672	
Disposal - MRF	(187)	(55)	(27)	10	4	(14)	(163)	
Fleet operations	-	-	-	0	0			
Bailing wire	(35)	(1)	(5)	1	1	(3)	(38)	
Fuel	(14)	(1)	(2)	1	2	1	9	
Payroll expense	(287)	(11)	(41)	-	-	(41)	(492)	
Payroll taxes	(33)	(1)	(5)	-	-	(5)	(57)	
Employee benefits	(75)	(3)	(11)	-	-	(11)	(128)	
Workers comp	(49)	(2)	(7)	-	-	(7)	(83)	
Purchases / rebate - MRF	(2,290)	(96)	(327)	47	90	(189)	(2,273)	
Repairs & maintenance	(76)	(3)	(11)	2	3	(6)	(73)	
Millennium savings	-	-	-	-	24	24	282	
Cost of sales	(3,046)	(112)	(435)	60	124	(251)	(3,017)	
Gross profit	653	24	93	(17)	(22)	55	655	
Building maintenance	(7)	(0)	(1)	-	-	(1)	(12)	
Utilities	(55)	(2)	(8)	-	-	(8)	(94)	
Operating profit	591		84	(17)	(22)	46	549	

Source : Management provided information, KPMG analysis

1. **FY18 budget:** Represents the budgeted results for seven months in 2018 (June to December, inclusive). Management represents that the new facility will be a "clean" MRF resulting in a higher percentage of inbound tons being processed as saleable commodities (vs. Bronx Optical which is a "dirty" MRF). Unit metrics are calculated based on total tons except for revenue and rebates, which are based on commodity tons.

2. **Bronx Optical:** Reflects the EBITDA lost from diverting inbound tons from Bronx Optical to the new JC MRF (approximately 600 tons/month). Costs savings from diverted tons have been calculated using Bronx Optical historical rates; Revenue and rebates were determined using budgeted JC MRF rates.

3. **Millennium:** Reflects the EBITDA lost from diverting Millennium tons to the JC MRF (approximately 1,000 tons/month). Furthermore, the Company expects to realize savings on tolls, fuel, and payroll expenses as a result of diverting tons to the JC MRF.

Millennium - opex savings	
\$'000	Pro forma
Estimated savings	
Tolls	12
R&M and fuel	37
Payroll - 1 trucker	77
Payroll - 2 sorters	108
Payroll taxes, benefits and WC	48
EBITDA impact	282

Source : Management provided information, KPMG analysis

4. **JC MRF 3rd party:** Represents the incremental increase to EBITDA after accounting for diverted tons from the Company's existing MRFs.

Single Stream run-rate impact

The tables below illustrate the assumptions applied to estimate the Single Stream revenue and EBITDA impact.

NYC single stream pro forma																	
\$'000	Jan-17	Feb-17	Mar-17	Apr-17	May-17	Jun-17	Jul-17	Aug-17	Sep-17	Oct-17	Nov-17	Dec-17	Jan-18	Feb-18	FY16	FY17	TTM Feb-18
Run-rate Single Stream revenue	281	281	281	281	281	281	281	281	281	281	281	281	281	281	3,372	3,372	3,372
Single stream revenue recognized to date	-	-	-	-	-	-	-	-	-	-	-	281	281	281	-	562	1,124
Incremental revenue	281	281	281	281	281	281	281	281	281	281	-	-	-	-	3,372	2,810	2,248
Average NYC hauling gross margin	20.6%	20.6%	20.6%	20.6%	20.6%	20.6%	20.6%	20.6%	20.6%	20.6%	20.6%	20.6%	20.6%	20.6%	20.6%	20.6%	20.6%
Single Stream hauling gross margin	58	58	58	58	58	58	58	58	58	58	-	-	-	-	694	578	462
Run-rate Optical Sorter costs	(31)	(31)	(31)	(31)	(31)	(31)	(31)	(31)	(31)	(31)	-	-	-	-	(366)	(305)	(244)
Estimated run-rate Single Stream gross profit	27	27	27	27	27	27	27	27	27	27	-	-	-	-	328	273	218

Source : Management provided information; KPMG analysis

Assumptions

- **Run-rate Single Stream revenue:** Estimated based on Nov-17 and Dec-17 actual to budget variance as both were \$281,000.
- **Single Stream revenue recognized to date:** Estimated based on actual to budget variance from Jul-17 to Dec-17 MD&As. As Single Stream was not budgeted for FY17, we have assumed that variances represent actual Single Stream revenues.
- **Average NYC hauling gross margin:** Reflects historical gross margin for IS-200 NYC Hauling, excluding intercompany revenues as these relate to commodity risk transfers from Optical/MRF to Hauling divisions. See table below for details.
- **Run-rate Optical Sorter costs:** Estimated as 50% of labor and disposal variances from budget in Dec-17.
- **Run-rate incremental Optical Sorter costs:** Estimated based on the proportion of Single Stream revenue recognized compared with run-rate revenue of \$281,000 per month.

IS_200 - NYC Hauling			
\$'000	FY16	FY17	TTM Feb-18
Revenue	104,782	110,510	111,629
Less: Interco from MRF/Optical	(4,103)	(5,236)	(4,430)
Revenue excl. Interco	100,679	105,274	107,198
T&D	(40,635)	(40,178)	(40,384)
COGS	(39,670)	(43,087)	(44,382)
Gross profit	20,374	22,009	22,433
Gross margin %	20.2%	20.9%	20.9%

Source : Management provided information; KPMG analysis

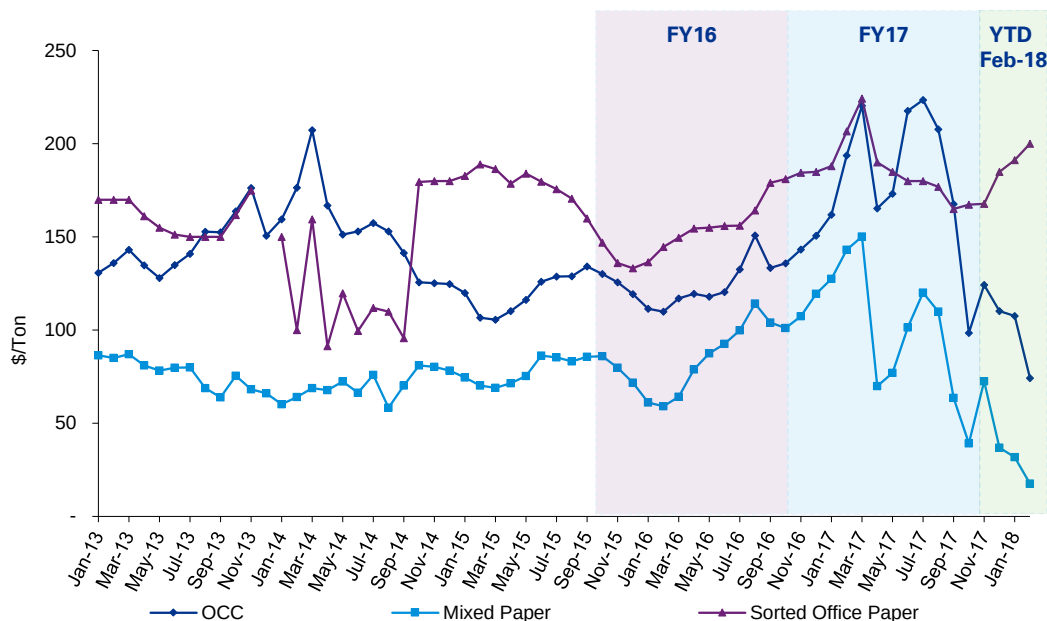
Single stream costs - Jan-18 assumed to be run-rate	
\$'000	Run-rate
Revenue	281
Average NYC hauling gross margin	20.6%
Estimated run-rate hauling margin	58
Incremental direct labor (from Optical Sorter)	(39)
Incremental disposal (from Optical Sorter)	(22)
Total incremental costs	(61)
Run-rate costs after process improvements	(31)
Net contribution	27
Contribution margin	9.7%

Source : Management provided information; KPMG analysis

Commodities (1) - Historical price

The below illustrates the production volume, revenue and unit price per commodity from FY13 to TTM Feb-18. Prices declined significantly after Q3-17.

5 year historical commodity unit price – Top three commodities



The underlying data for the adjacent chart is based on data for commodities sold through the Company's main broker, N&V, which handles over 90% of the Company's commodity sales. Given the coverage by N&V, we have used this information to estimate the commodity price sensitivity for the Company.

Source: 1.2.3.2 Action Commodity Data Set.xls

Unit price						
\$/Ton	FY13	FY14	FY15	FY16	FY17	TTM Feb-18
OCC	146	151	121	129	170	155
Mixed Paper	74	70	78	91	96	77
Sorted Office Paper	159	122	166	160	186	185
Aluminum	1,181	1,484	1,106	1,039	987	979
Misc Waste / Recyclables	39	46	161	165	189	187
PET	329	335	211	181	261	263
Top 6 commodities	136	130	118	127	162	147
Other	14	13	16	8	9	9
Total	104	88	87	89	116	106

Source: 1.2.3.2 Action Commodity Data Set.xls

Volume per commodity						
Tons	FY13	FY14	FY15	FY16	FY17	TTM Feb-18
OCC	63,331	84,825	100,116	109,905	103,215	104,821
Mixed Paper	10,330	26,114	22,316	19,083	17,839	17,296
Sorted Office Paper	3,565	9,535	7,178	6,679	4,318	3,962
Aluminum	22	70	144	140	143	163
Misc Waste / Recyclables	628	3,585	1,288	1,155	1,070	883
PET	154	561	840	828	629	760
Top 6 commodities	78,031	124,690	131,882	137,790	127,214	127,885
Other	28,541	70,311	57,248	65,507	54,031	54,147
Total	106,572	195,001	189,130	203,297	181,245	182,032

Source: 1.2.3.2 Action Commodity Data Set.xls

Commodities (2) - Price sensitivity

The analysis below examines the potential revenue and margin impact (i.e. revenue net of third party rebates) under various pricing assumptions. Scenario 1 assumes the last 60 months' average price; Scenario 2 assumes OCC prices to be \$150/ton, and last 60 months' prices for the remaining commodities.

Constant commodity										
\$'000	Revenue					Margin				
	Base	Scenario 1	Scenario 2	Variance Scenario 1	Variance Scenario 2	Base	Scenario 1	Scenario 2	Variance Scenario 1	Variance Scenario 2
FY16	18,950	<i>n.q.</i>	<i>n.q.</i>	<i>n.q.</i>	<i>n.q.</i>	16,800	<i>n.q.</i>	<i>n.q.</i>	<i>n.q.</i>	<i>n.q.</i>
FY17	22,331	19,966	20,632	(2,366)	(1,700)	18,976	17,317	17,894	(1,659)	(1,081)
TTM Feb-18	20,512	20,432	21,112	(80)	600	17,677	17,721	18,311	44	633

Source: 1.2.3.2 Action Commodity Data Set – February update.xls, KPMG analysis

Note 1: Base case includes the recycling revenue reported in the hauling division which is not reported in the N&V broker data, but also represents commodity exposure.

Note 2: FY16 impact is unquantified as we understand the Company's rebate structure is not linear with commodity prices.

Assumptions

- **Scenario 1:** All commodities at average price from Mar-13 to Feb-18.
- **Scenario 2:** OCC unit revenue \$150/Ton; Other commodities at average price from Mar-13 to Feb-18.
- For illustrative purposes, EBITDA margin of 86% was applied to both scenarios. The margin of 86% was derived from the last 24 months' revenues net of third party rebates. During this period, the monthly margin was not significantly different from the 24-month average. In practice, the Company's structure varies by customer and may not move linearly with commodity prices.

Pricing assumptions					
	From Feb-18				
	Last 60 month average	Last 48 month average	Last 36 month average	Last 24 month average	Last 12 month average
\$/Ton					
OCC	143	141	139	149	158
Mixed Paper	80	81	85	89	74
Sorted Office Paper	162	165	172	178	184
Aluminum	1,113	1,110	1,019	1,000	978
Misc Waste / Recyclables	135	145	173	181	187
PET	254	243	215	226	264
Top 6 commodities	133	132	134	143	148
Other	12	11	11	9	9
Total	95	94	96	99	106

Source: 1.2.3.2 Action Commodity Data Set – February update.xls, KPMG analysis

Commodities (3) – Reconciliation of sensitivity analysis to GL

The table below presents a reconciliation of the base case revenue and margin (revenue net of third party rebates) from the sensitivity analysis on the previous page to the general ledger.

Reconciliation- N&V (Base Case Data) vs. GL data			
			TTM
\$'000	FY16	FY17	Feb-18
Commodity revenue			
Base case	18,950	22,331	20,512
Per GL	19,237	22,563	20,798
Variance	287	232	286
Margin			
Base case	16,800	18,976	17,677
Per GL	17,043	19,288	18,011
Variance	242	312	333

Source: 1.2.3.2 Action Commodity Data Set – February update.xls, KPMG analysis

NWC impact of EBITDA adjustments (1) - Reporting and potential

The table below summarizes the NWC impact of Reporting and Potential QofE adjustments. The NWC impact of most of the adjustments have been considered in NWC adjustment #4.

QofE adjustments considered				
\$'000	NWC account impacted	FY16	FY17	TTM Feb-18
Reporting adjustments				
1 Investor related fees and expenses	Accrued expenses	439	509	474
2 Acquisition related expense	Accrued expenses	138	388	427
3 Other expenses	Accrued expenses	-	117	117
4 Other legal / consulting	Accrued expenses	-	51	51
5 Loss on sale of asset	n.a.	162	25	25
6 Regulatory compliance audit	Accrued expenses	659	5	5
7 Paterson sale bonus	NWC Adj #2	2,546	-	-
8 Bonus accrual	NWC Adj #9	700	-	-
Total reporting adjustments		4,644	1,095	1,099
Potential adjustments				
9 FY17 insurance SL	n.a.	-	-	129
10 Non-recurring environmental cost	Accrued expenses	110	116	113
11 Paterson deferred gain	NWC Adj #3	(8)	(33)	(33)
12 Bad debt expense	NWC Adj #8	181	-	-
Potential adjustments		282	83	208

Source : Management provided information; KPMG analysis

Loss on asset sale was not accrued for, as such, does not have NWC impact.

NWC impact of EBITDA adjustments (2) - Pro forma

The table below summarizes the working capital impact of pro forma QofE adjustments – see NWC adjustment #10.

NWC impact of pro forma QofE adjustments							
\$'000	P&L		B/S		FY16	FY17	TTM
	Revenue	Expenses	Assets	Liabilities			Feb-18
Pro forma QofE adjustments to consider							
13 Acquisitions	Revenue	COGS, SG&A, Payroll	AR	AP, AL, Payroll	2,388	1,691	1,440
14 Restructuring	Adjustment not required				591	655	676
15 Run-rate JC MRF (Casanova relocation)	Revenue	COGS, SG&A, Payroll	AR	AP, AL, Payroll	549	549	549
16 Single Stream run-rate impact	Revenue	n.a.	AR	n.a.	328	273	218
17 Bronx tolling agreement	Revenue	n.a.	AR	n.a.	569	70	58
18 Lost municipal contract	Revenue	COGS, Payroll	AR	AP, Payroll	(320)	(101)	(53)
19 Constant commodity	Revenue	COGS	AR	AL	-	(1,659)	44
21 Sale and leaseback rent	Already considered in NWC adjustment #12				(200)	-	-
20 Run-rate biosolids contract	Already considered in NWC adjustment #11				1,195	-	-
Total pro-forma adjustments					5,100	1,478	2,933

Note (1): NWC impact of payroll expenses in pro-forma adjustments have not been calculated as the Company's pay cycle varies and the amount payable at month-end is historically non-material.

Source : Management provided information; KPMG analysis

Revenue for top 10 customers

The snapshot below illustrates the revenue for top 10 customers. Management is unable to provide volume and margin per customer due to the nature of the work completed for each type of customer.

Revenue per top 10 customers				
\$'000	Rank in FY16	Customer type	FY16	FY17
N&V	1	T/F, MRF	17,306	19,526
New York City	2	T/F	10,841	11,940
Orange County MSW	3	T/F	8,656	8,834
Stericycle	4	Commercial, Roll-off	7,065	7,120
NYC Department of Sanitation	5	T/F	6,953	6,970
Waste Management	7	Commercial, Roll-off	4,730	5,032
RCSWMA	8	T/F	4,082	4,460
WeCare Organics LLC	n/a	T/F	-	3,950
NYC SANITATION(MANHATTAN)	6	T/F	6,119	3,607
Classic Sanitation	9	T/F	3,018	3,187
Top 10 customers			68,770	74,626
Other customers			200,895	217,278
Total revenue			269,665	291,904

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Source: Customer Database v6 Upload.xls, KPMG analysis

Reconciliation to consolidated gross revenue		
\$'000	FY16	FY17
Total revenue - customer details	269,665	291,904
IESI revenue grossed up	2,107	5,626
Revenue, per customer detail	271,772	297,530
Gross consolidated revenue	271,110	292,600
Unreconciled difference	662	4,931

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The Company grossed up the transfer station revenue earned in the IESI tolling agreement at the rate of \$60/ton and recorded a corresponding expense for Management reporting purposes.

Source: Customer Database v6 Upload.xls, internal trial balances, KPMG analysis

Fleet aging analysis

The below aging analysis are based on the fleet aging listing provided by Management as at March 1, 2018. Roll-off fleet aging averaged 10.9 years, rear-loaders aged 8.4 years and front-loaders averaged 7.2 years. In addition to the heavy vehicles newly acquired in FY17 and YTD Feb-18, the Company acquired 11 aged rear-load and 2 roll-off trucks as part of the Mid Bronx transaction in January 2018.

Fleet summary											
	Number of vehicles					Average age (years)					
	Rear loaders	Front loaders	Roll-off	Tractor	Total fleet	Rear loaders	Front loaders	Roll-off	Tractor	Total fleet	Average age without tractor
31-Dec-16											
Action	85	-	43	-	128	8.82	-	9.19	-	8.95	8.95
IWS - NJ	43	46	43	-	132	11.47	9.41	11.70	-	10.94	10.83
IWS - NY	20	22	10	13	65	10.85	7.55	8.90	11.92	9.65	9.08
Fleet summary as at 12/31/2016	148	68	96	13	325	9.86	8.81	10.32	11.92	9.87	9.78
31-Dec-17											
Action	85	-	47	-	132	7.47	-	8.53	-	7.91	7.85
IWS - NJ	40	45	48	-	133	9.13	8.31	11.69	-	9.77	9.77
IWS - NY	21	22	10	19	72	7.81	6.73	9.90	8.84	8.04	7.75
Fleet summary as at 12/31/2017	146	67	105	19	337	7.99	7.79	10.21	8.84	8.69	8.68
1-Mar-18											
Action	87	-	48	1	136	7.56	-	9.15	11.68	8.15	8.13
IWS - NJ	39	49	46	1	135	9.47	7.65	12.37	15.68	9.85	9.80
IWS - NY	23	21	12	23	79	9.89	6.01	11.76	10.24	9.24	8.84
Fleet summary as at 3/1/2018	149	70	106	25	350	8.42	7.16	10.85	10.52	9.05	8.94

Source : Fleet age as of 3.1.18.xls; KPMG analysis

Fleet summary as at March 1, 2018							
	Routed units	Spare units	Avg. age of routed units	Expected useful life	Expected remaining life	Routed units aged 10 years+	Avg. age of spare units
Frontload	70	-	7.16	10.00	2.84	28	-
Rearload	149	-	8.42	10.00	1.58	69	-
Rolloff	101	5	10.64	12.00	1.36	64	15.08
Tractor	19	6	8.04	n/a	n/a	10	18.35
Total	339	11	8.80	n/a	n/a	171	16.86

Note: Expected useful life based on industry standards.

Source : Fleet age as of 3.1.18.xls; KPMG analysis

Fleet aging summary by model year (excl. spare)																					
# units	Prior																			Total	
	2001	2001	2002	2003	2004	2005	2006	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018		
Frontload	2	1	2	3	4	4	7	5	1	1	5	4	4	3		4	2	2	16	70	
Rearload	-	3	2	8	14	21	14	7	9	12	1	12	5	4	6	3		13	15	149	
Rolloff	15	4	3	5	2	6	17	12	3	2		15	1		4	1	2	4	5	101	
Tractor	2		1		1	2	2	2							2	1		6		19	
Total	19	8	8	16	21	33	40	26	13	15	6	31	10	7	12	9	4	25	36	339	

Source : Fleet age as of 3.1.18.xls; KPMG analysis

Truck capex analysis

Management intends to acquire vehicles to modernize the Company's fleet and meet NYC emissions requirements. The tables below outline expected fleet spending by type of vehicle. Management represents that actual purchases have been tracking against the budgeted figures below. At the date of this report, the current truck capex schedule is outstanding.

Fleet capex as at Aug-17							
\$'000	Front end loader	Rear end loader	Roll-off	Tractor	Other	Pick up Truck	Total
Vehicles							
Q1-17	-	-	5	3	3	5	16
Q2-17	2	13	1	-	1	-	17
Q3-17F	6	8	1	-	2	-	17
Q4-17F	-	-	-	-	-	-	-
Q1-18F	11	15	3	-	4	-	33
Q2-18F	-	5	-	1	5	2	13
Q3-18F	-	2	-	-	-	-	2
Q4-18F	-	-	-	-	1	-	1
Total vehicles	19	43	10	4	16	7	99
Spend							
Q1-17	-	-	1,068	486	232	216	2,002
Q2-17	625	3,825	213.0	-	89	-	4,752
Q3-17F	1,811	2,363	200.0	-	166	-	4,540
Q4-17F	-	-	-	-	-	-	-
Q1-18F	3,385	4,505	648.0	-	588	-	9,126
Q2-18F	-	1,665	-	136	362	131	2,294
Q3-18F	-	461	-	-	-	-	461
Q4-18F	-	-	-	-	119	-	119
Total spend	5,821	12,819	2,129	622	1,556	347	23,294

Source : Management provided information; KPMG analysis

Capex spent			
\$'000	FY15	FY16	FY17
Yellow iron	867	1,557	1,930
Containers	1,182	1,249	1,865
Fleet	4,725	4,680	11,603
Facilities	1,363	877	2,217
Purchase of Broadway facility	-	-	-
Optical MRF project	761	73	112
Routeware (onboard computing)	382	310	151
Admin & other	221	303	317
Total per audited financials	9,500	9,049	18,194
One-time acquisition capex	944	680	-
Total	10,445	9,729	18,194

Source : Management provided information; KPMG analysis

Overview by location (1) - Hauling, Optical & MRF, and Corporate

The tables below and on the following page present the Company's reported results by location for Hauling, Optical & MRF, and Corporate divisions.

Hauling divisions																					
\$'000	TTM			TTM			TTM			TTM			TTM			TTM					
	FY16	FY17	Feb-18	FY16	FY17	Feb-18	FY16	FY17	Feb-18	FY16	FY17	Feb-18	FY16	FY17	Feb-18	FY16	FY17	Feb-18			
	Revenue			T & D Cost			Cost of sales			Gross profit			SG&A			EBITDA			EBITDA margin		
200-NYC Hauling	104,782	110,510	111,629	(40,635)	(40,178)	(40,384)	(39,670)	(43,087)	(44,382)	24,477	27,245	26,863	(6,129)	(5,376)	(5,310)	18,348	21,869	21,553	17.5%	19.8%	19.3%
123-NJ Hauling	63,198	69,223	69,525	(24,674)	(26,997)	(27,367)	(25,674)	(27,762)	(27,882)	12,850	14,464	14,276	(2,357)	(2,758)	(2,821)	10,493	11,706	11,454	16.6%	16.9%	16.5%
329-NYS Hauling	21,477	22,656	22,994	(8,056)	(8,180)	(8,299)	(10,083)	(10,872)	(11,136)	3,338	3,603	3,559	(1,566)	(1,625)	(1,643)	1,772	1,977	1,916	8.3%	8.7%	8.3%
128-Container Maintenance	-	-	-	-	-	-	(2,818)	(2,956)	(2,931)	(2,818)	(2,956)	(2,931)	(267)	(259)	(262)	(3,085)	(3,215)	(3,193)	-	-	-
Total hauling divisions	189,458	202,389	204,148	(73,365)	(75,355)	(76,050)	(78,244)	(84,677)	(86,331)	37,848	42,356	41,768	(10,319)	(10,019)	(10,037)	27,529	32,337	31,731	14.5%	16.0%	15.5%

Source : Management provided information, KPMG analysis

Optical & MRF																					
\$'000	TTM			TTM			TTM			TTM			TTM			TTM					
	FY16	FY17	Feb-18	FY16	FY17	Feb-18	FY16	FY17	Feb-18	FY16	FY17	Feb-18	FY16	FY17	Feb-18	FY16	FY17	Feb-18			
	Revenue			T & D Cost			Cost of sales			Gross profit			SG&A			EBITDA			EBITDA margin		
230-Bronx Optical	13,311	14,080	12,826	(1,830)	(1,703)	(1,854)	(9,111)	(10,589)	(9,519)	2,369	1,788	1,453	(361)	(338)	(334)	2,008	1,450	1,119	15.1%	10.3%	8.7%
221-Bronx MRF	-	-	-	-	-	-	-	-	-	-	-	-	(647)	(636)	(638)	(647)	(636)	(638)	-	-	-
328-Millennium MRF	5,154	7,332	6,846	(70)	(185)	(219)	(3,436)	(5,609)	(5,288)	1,648	1,538	1,339	(734)	(1,019)	(1,014)	914	519	324	17.7%	7.1%	4.7%
Total Optical & MRF	18,465	21,412	19,672	(1,900)	(1,888)	(2,073)	(12,547)	(16,198)	(14,807)	4,017	3,326	2,792	(1,742)	(1,993)	(1,987)	2,275	1,333	805	12.3%	6.2%	4.1%

Source : Management provided information, KPMG analysis

Corporate (Office admin)																					
	TTM			TTM			TTM			TTM			TTM			TTM					
	FY16	FY17	Feb-18	FY16	FY17	Feb-18	FY16	FY17	Feb-18	FY16	FY17	Feb-18	FY16	FY17	Feb-18	FY16	FY17	Feb-18			
\$'000	Revenue			T & D Cost			Cost of sales			Gross profit			SG&A			EBITDA			EBITDA margin		
220-NYC Hauling Office	-	-	-	-	-	-	-	(128)	(131)	-	(128)	(131)	-	(656)	(669)	-	(784)	(800)	-	-	-
120-NJ Hauling Office	-	-	-	-	-	-	(34)	(114)	(119)	(34)	(114)	(119)	(532)	(661)	(678)	(566)	(774)	(797)	-	-	-
320-NY Hauling Office	-	-	-	-	-	-	(1)	(123)	(123)	(1)	(123)	(123)	(650)	(648)	(651)	(650)	(771)	(773)	-	-	-
000-Corporate Office	-	-	-	-	-	-	-	-	-	-	-	-	(11,561)	(12,394)	(12,264)	(11,561)	(12,394)	(12,264)	-	-	-
Total Corporate (office admin)	-	-	-	-	-	-	(34)	(365)	(373)	(34)	(365)	(373)	(12,742)	(14,358)	(14,260)	(12,777)	(14,723)	(14,634)	-	-	-
I/C Eliminations																					
IS Eliminations	(50,794)	(54,915)	(53,678)	45,314	46,673	46,477	5,479	8,406	7,373	(0)	164	172	(1)	(170)	(170)	(1)	(6)	1	0.0%	0.0%	(0.0%)

Source : Management provided information, KPMG analysis

Overview by location (2) - Transfer stations and Biosolids

Transfer stations and Biosolids																					
	TTM			TTM			TTM			TTM			TTM			TTM			TTM		
	FY16	FY17	Feb-18	FY16	FY17	Feb-18	FY16	FY17	Feb-18	FY16	FY17	Feb-18	FY16	FY17	Feb-18	FY16	FY17	Feb-18	FY16	FY17	Feb-18
\$'000	Revenue			T & D Cost			Cost of sales			Gross profit			SG&A			EBITDA			EBITDA margin		
Owned																					
232-Brooklyn TS	9,936	10,092	10,095	(7,340)	(7,465)	(7,486)	(862)	(900)	(910)	1,734	1,728	1,699	(154)	(150)	(155)	1,580	1,578	1,544	15.9%	15.6%	15.3%
231-Bronx TS	27,652	31,470	30,829	(23,331)	(26,678)	(26,135)	(2,111)	(2,315)	(2,396)	2,211	2,477	2,298	(962)	(1,007)	(1,010)	1,248	1,470	1,288	4.5%	4.7%	4.2%
324-NY Rockland Co TS	4,082	4,460	4,497	(2,585)	(2,778)	(2,819)	(462)	(457)	(473)	1,035	1,225	1,205	(39)	(57)	(54)	996	1,169	1,151	24.4%	26.2%	25.6%
326-NY Goshen TS	8,396	8,335	8,420	(5,531)	(5,704)	(5,775)	(1,523)	(1,642)	(1,680)	1,342	990	965	(216)	(221)	(222)	1,127	768	743	13.4%	9.2%	8.8%
121-Jersey City TS	22,562	21,561	21,432	(19,194)	(18,139)	(18,064)	(1,794)	(1,689)	(1,693)	1,574	1,733	1,676	(1,010)	(1,002)	(1,000)	564	731	676	2.5%	3.4%	3.2%
122-Garfield TS	11,303	11,147	11,071	(9,412)	(9,380)	(9,305)	(914)	(962)	(973)	977	806	792	(256)	(281)	(257)	721	525	535	6.4%	4.7%	4.8%
325-NY Hilburn TS	8,424	9,117	9,179	(6,742)	(7,325)	(7,397)	(460)	(508)	(509)	1,223	1,284	1,273	(568)	(761)	(761)	654	522	512	7.8%	5.7%	5.6%
Total Owned TS	92,356	96,183	95,523	(74,135)	(77,468)	(76,982)	(8,126)	(8,473)	(8,634)	10,095	10,242	9,907	(3,205)	(3,479)	(3,458)	6,890	6,763	6,449	7.5%	7.0%	6.8%
Operated on behalf of third party																					
126-Totowa TS	994	1,013	1,017	-	-	-	(771)	(816)	(823)	223	197	193	(15)	(16)	(16)	207	181	178	20.9%	17.9%	17.5%
127-Paterson TS	1,135	1,105	1,117	-	-	-	(653)	(712)	(719)	482	393	398	(10)	(11)	(12)	471	382	386	41.5%	34.6%	34.6%
322-NY New Hampton TS	4,013	3,953	3,975	(2,988)	(2,954)	(2,980)	(1)	(1)	(3)	1,024	997	992	(13)	(12)	(12)	1,011	985	980	25.2%	24.9%	24.7%
323-NY Newburgh TS	4,136	4,354	4,381	(2,520)	(2,542)	(2,564)	(1,196)	(1,169)	(1,190)	420	642	627	(86)	(98)	(100)	334	545	527	8.1%	12.5%	12.0%
321-NY Port Jervis TS	507	527	508	(269)	(301)	(303)	(213)	(195)	(187)	25	31	18	(42)	(49)	(51)	(16)	(18)	(33)	3.2%	3.4%	6.5%
129-Miele TS	-	689	1,147	-	(600)	(998)	-	(46)	(81)	-	44	68	-	(6)	(7)	-	38	61	-	5.5%	5.3%
Operated on behalf of third party	10,785	11,640	12,145	(5,777)	(6,397)	(6,844)	(2,835)	(2,939)	(3,003)	2,174	2,304	2,297	(166)	(191)	(197)	2,007	2,113	2,100	18.6%	18.2%	17.3%
Total transfer stations	103,140	107,823	107,668	(79,911)	(83,866)	(83,826)	(10,961)	(11,411)	(11,638)	12,268	12,546	12,204	(3,371)	(3,670)	(3,655)	8,897	8,876	8,549	8.6%	8.2%	7.9%
Bio Solids																					
125-Biosolids	10,841	15,891	15,598	(9,382)	(12,787)	(12,556)	(164)	(133)	(133)	1,295	2,970	2,909	(2)	(2)	0	1,293	2,968	2,909	11.9%	18.7%	18.6%

Source : Management provided information, KPMG analysis

Port Jervis is part of two other transfer stations that the Company operations on behalf of Orange County, NY (New Hampton and Newburgh). The loss at Port Jervis is due to its scale, as it is a small location that only processes two loads per day.

Brooklyn TS margins are higher relative to Bronx TS due to customer mix. Brooklyn primarily serves the New York Department of Sanitation ("DSNY"). 300 of the 375 tons/day capacity is reserved for DSNY. In exchange, inbound tons are priced at \$91/ton, which is above-market.

The majority of volumes at the Bronx TS are intercompany, which are priced at below market at \$70/ton.

SG&A - Bridge from reported to pro forma adjusted

The table below highlights the adjustments that impact SG&A to bridge from reported to pro forma adjusted figures.

SG&A																					
\$'000	Reported			Adj. 9 - 12			Adj. 14			Adj. 15			Adj. 21			Total adjustments			SG&A, pro forma adjusted		
				Potential adjustments			Restructuring			JC MRF			Sale-leaseback rent								
	TTM	TTM	TTM	TTM	TTM	TTM	TTM	TTM	TTM	TTM	TTM	TTM	TTM	TTM	TTM	TTM	TTM				
	FY16	FY17	Feb-18	FY16	FY17	Feb-18	FY16	FY17	Feb-18	FY16	FY17	Feb-18	FY16	FY17	Feb-18	FY16	FY17	Feb-18	FY16	FY17	Feb-18
SG&A																					
Payroll expense	(9,427)	(10,389)	(10,532)	-	-	-	591	655	676	-	-	-	-	-	-	591	655	676	(8,836)	(9,734)	(9,856)
Rent & RE Taxes	(5,221)	(5,982)	(5,998)	(8)	(33)	(33)	-	-	-	-	-	-	(200)	-	-	(208)	(33)	(33)	(5,430)	(6,015)	(6,031)
Payroll bonus expense	(1,332)	(581)	(464)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	(1,332)	(581)	(464)
Employee benefits	(1,385)	(1,810)	(1,824)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	(1,385)	(1,810)	(1,824)
Bad debt expense	(667)	(376)	(356)	181	-	-	-	-	-	-	-	-	-	-	-	181	-	-	(487)	(376)	(356)
Professional fees	(828)	(988)	(938)	110	116	113	-	-	-	-	-	-	-	-	-	110	116	113	(719)	(872)	(826)
Advertising	(921)	(1,066)	(911)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	(921)	(1,066)	(911)
Others	(8,396)	(8,868)	(8,932)	-	-	129	-	-	-	(105)	(105)	(105)	-	-	-	(105)	(105)	23	(8,501)	(8,973)	(8,908)
Total SG&A	(28,177)	(30,059)	(29,956)	282	83	208	591	655	676	(105)	(105)	(105)	(200)	-	-	568	632	779	(27,610)	(29,427)	(29,177)

Source : Management provided information, KPMG analysis

Relates to building maintenance and utilities.

Adjusted income statement

The table below presents the reported income statement alongside the pro forma adjusted income statement.

Adjusted Income statement												
\$'000	Reported IS			As a % of revenue			EBITDA, pro forma adjusted			As a % of revenue		
	TTM			TTM			TTM			TTM		
	FY16	FY17	Feb-18	FY16	FY17	Feb-18	FY16	FY17	Feb-18	FY16	FY17	Feb-18
Collection Revenue	180,295	190,567	193,544	66.5%	65.1%	66.0%	192,412	199,936	201,470	66.4%	65.9%	66.1%
Transfer Station Revenue	115,394	125,067	124,609	42.6%	42.7%	42.5%	118,357	125,137	124,667	40.8%	41.3%	40.9%
Recycling/MRF Revenue	24,785	31,039	28,213	9.1%	10.6%	9.6%	28,457	32,345	31,805	9.8%	10.7%	10.4%
Fuel Surcharge Revenue	2,221	1,633	1,500	0.8%	0.6%	0.5%	2,221	1,633	1,500	0.8%	0.5%	0.5%
NJ Recycling Tax	(1,577)	(1,497)	(1,485)	(0.6%)	(0.5%)	(0.5%)	(1,577)	(1,497)	(1,485)	(0.5%)	(0.5%)	(0.5%)
Subcontractor Revenue	32	32	32	0.0%	0.0%	0.0%	32	32	32	0.0%	0.0%	0.0%
Rental Income-Rolloff	573	611	616	0.2%	0.2%	0.2%	573	611	616	0.2%	0.2%	0.2%
Other Operational Revenue	397	283	285	0.1%	0.1%	0.1%	397	283	285	0.1%	0.1%	0.1%
Service Discounts & Allowances	(217)	(221)	(227)	(0.1%)	(0.1%)	(0.1%)	(217)	(221)	(227)	(0.1%)	(0.1%)	(0.1%)
Intercompany Revenue-Elimination	(50,794)	(54,915)	(53,678)	(18.7%)	(18.8%)	(18.3%)	(50,794)	(54,915)	(53,678)	(17.5%)	(18.1%)	(17.6%)
Revenue	271,110	292,600	293,409	100.0%	100.0%	100.0%	289,862	303,345	304,985	100.0%	100.0%	100.0%
Disposal - Hauling	(73,431)	(75,355)	(76,050)	(27.1%)	(25.8%)	(25.9%)	(79,612)	(79,480)	(79,463)	(27.5%)	(26.2%)	(26.1%)
Disposal - MRF	(1,925)	(1,888)	(2,073)	(0.7%)	(0.6%)	(0.7%)	(2,088)	(2,051)	(2,236)	(0.7%)	(0.7%)	(0.7%)
Disposal - Transfer Stations	(60,301)	(66,965)	(66,406)	(22.2%)	(22.9%)	(22.6%)	(61,500)	(66,965)	(66,406)	(21.2%)	(22.1%)	(21.8%)
Long Haul Transportation	(28,993)	(29,689)	(29,969)	(10.7%)	(10.1%)	(10.2%)	(28,993)	(29,689)	(29,969)	(10.0%)	(9.8%)	(9.8%)
Long haul fuel surcharge	-	-	-	-	-	-	-	-	-	-	-	-
Intercompany Costs-Elimination	45,405	46,673	46,469	16.7%	16.0%	15.8%	45,405	46,673	46,469	15.7%	15.4%	15.2%
Transportation and Disposal	(119,245)	(127,223)	(128,028)	(44.0%)	(43.5%)	(43.6%)	(126,787)	(131,511)	(131,604)	(43.7%)	(43.4%)	(43.2%)
Net Revenue	151,865	165,376	165,381	56.0%	56.5%	56.4%	163,074	171,835	173,381	56.3%	56.6%	56.8%
Salary and Wages	(65,969)	(71,246)	(72,565)	(24.3%)	(24.3%)	(24.7%)	(70,305)	(75,249)	(76,046)	(24.3%)	(24.8%)	(24.9%)
Other Cost of Sales	(30,502)	(33,287)	(33,499)	(11.3%)	(11.4%)	(11.4%)	(32,561)	(34,813)	(35,655)	(11.2%)	(11.5%)	(11.7%)
Cost of sales	(96,471)	(104,532)	(106,064)	(35.6%)	(35.7%)	(36.1%)	(102,867)	(110,062)	(111,701)	(35.5%)	(36.3%)	(36.6%)
Gross Profit	55,394	60,844	59,317	20.4%	20.8%	20.2%	60,208	61,772	61,679	20.8%	20.4%	20.2%
SG&A	(28,177)	(30,059)	(29,956)	(10.4%)	(10.3%)	(10.2%)	(27,610)	(29,427)	(29,177)	(9.5%)	(9.7%)	(9.6%)
Operating income	27,217	30,785	29,361	10.0%	10.5%	10.0%	32,598	32,345	32,503	11.2%	10.7%	10.7%
Amortization & Depreciation	(14,469)	(14,756)	(15,109)	(5.3%)	(5.0%)	(5.1%)	(14,469)	(14,756)	(15,109)	(5.0%)	(4.9%)	(5.0%)
Other Expenses	(13,595)	(12,802)	(13,661)	(5.0%)	(4.4%)	(4.7%)	(8,950)	(11,707)	(12,563)	(3.1%)	(3.9%)	(4.1%)
Net income	(847)	3,227	591	(0.3%)	1.1%	0.2%	9,179	5,883	4,831	3.2%	1.9%	1.6%
Interest	8,740	11,568	12,423	3.2%	4.0%	4.2%	8,740	11,568	12,423	3.0%	3.8%	4.1%
Amortization & Depreciation	14,469	14,756	15,109	5.3%	5.0%	5.1%	14,469	14,756	15,109	5.0%	4.9%	5.0%
Taxes	211	138	139	0.1%	0.0%	0.0%	211	138	139	0.1%	0.0%	0.0%
EBITDA	22,572	29,690	28,263	8.3%	10.1%	9.6%	32,598	32,345	32,503	11.2%	10.7%	10.7%

Source : Management provided information, KPMG analysis

Glossary

\$'000	Dollars in Thousands	LLP	Limited liability partnership
Client	Impero Waste Services. LLC ("Impero"), Action Environmental Group, Inc. ("Action"), Summer Street Capital Partners, LLC ("Summer Street") and Clairvest Group Inc. ("Clairvest")	LOI	Letter of Intent
AFDA	Allowance for doubtful accounts	LTD	Long term debt
AR	Accounts receivable	MD&A	Management discussion & analysis
BIC	Business Integrity Commission	MRF	Material recovery facility
BS	Balance sheet	MSW	Municipal solid waste
C&D	Construction & demolition	NJ	New Jersey
CFO	Chief Financial Officer	NWC	Net working capital
COGS	Cost of goods sold	NYC	New York City
DPO	Days payables outstanding	OCC	Old corrugated cardboard
DSO	Days sales outstanding	PP&E	Plant property & equipment
EBITDA	Earnings before interest, tax, depreciation and amortization	QofE	Quality of Earnings
FYXX	Financial year	QXX	Quarter
GL	General ledger	SG&A	Selling general & administration
ICI	Industrial, commercial & institutional	SL	Straight line
IS	Income statement	SOP	Sorted office paper
JC	Jersey City	T&D	Transportation & disposal
KPI	Key performance indicator	TTM	Trailing twelve months
LLC	Limited liability company	WTE	Waste-to-energy
		YTG	Year-to-go



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